



2026-2030 ELECTRICITY, WATER AND NATURAL GAS MAJOR TARIFF REVIEW DECISION

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PREAMBLE

The purpose of this Tariff Decision Paper is to fulfill the statutory mandate of the Public Utilities Regulatory Commission (PURC) as set out in the Public Utilities Regulatory Commission Act, 1997 (Act 538) relating to approval of tariffs for utility services – natural gas, electricity and water. Additionally, it aims to enhance transparency in the utility tariff setting process in Ghana, in line with international best practice. This decision paper provides the rationale underpinning the 2026-2030 natural gas, electricity and water tariffs. It is issued for the benefit of the Utility Companies, Investors, the Government of Ghana, Consumers and the Public.

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The Commission warrants the accuracy of information contained in this paper as at the date of the tariff decision. The decision remains in force until duly revoked by the Commission.

Executive Summary

On December 02, 2025, the Public Utilities Regulatory Commission (PURC) announced its decision on tariffs applicable to Ghana's natural gas, electricity and water value chain. These utilities are managed and operated by the Natural Gas Transmission Company (Ghana National Gas Limited Company (GNGLC)), Generation Companies (Volta River Authority (VRA), Independent Power Producers (IPPs)), the Transmission Utility (Ghana Grid Company Limited (GRIDCo) and the Distribution Companies (Electricity Company of Ghana Limited (ECG), Northern Electricity Distribution Company Limited (NEDCo), Enclave Power Company Limited (EPC)) and Ghana Water Limited (GWL) for the 2026-2030 tariff control period. These tariffs set out the rates chargeable for supply of natural gas, electricity and water by regulated public utilities to consumers in Ghana. The Commission's tariff determination and approval was executed within the mandate of the Public Utilities Regulatory Commission Act, 1997 (Act 538) with regards to rate setting, particularly, Sections 3(b), 18 and 19.

As a regulatory requirement, the approved rates were arrived at after careful examination of tariff filings made by Utility Companies noted above. The tariffs/rates examination process was conducted taking into consideration PURC's Rate Setting Guidelines, several utility operational considerations as well as exogenous factors including macro-economic and socio-economic factors which have direct bearing on natural gas, electricity and water production, supply and consumption. The approval process also took into consideration submissions made by major stakeholders.

GNPC per the Public Utilities Regulatory Commission Act 1997, (Act 538) is not a public utility regulated by the Public Utilities Regulatory Commission, but by virtue of Section 17 of the Public Utilities Regulatory Commission Act 1997, (Act 538), the Commission has an indirect regulatory role in terms of the cost of the product or commodity the corporation deals in. Thus, by virtue of GNPC's role as owner of domestic gas, which commodity and associated costs are critical in determination of volume of electricity generated and tariffs, made submissions in respect of adjustment in gas commodity prices and volumes for Sankofa and Jubilee gas fields as well as gas management and service charges. This according to GNPC is to recover investments made in these gas fields.

GNGLC, as the utility mandated with responsibility for transportation of natural gas in the country, provided several reasons in support of the Company's proposed tariffs. These include recovery of fixed operational expenses required to ensure uninterrupted operation of GNGLC's facilities and the delivery of gas, recovery of cost of investments, return on assets which facilitates repayment of the cost of capital and equity return to shareholders. In that regard, the Company proposed an upward review in Total Tariff for Gas Gathering, Processing and Transmission from USD1.1051/MMBtu in 2025 to USD2.1819/MMBtu in 2026.

VRA put forward various reasons in support of the company's tariff submissions. These include recovery of cost of power supply to the Distribution Companies, cost of ancillary services to the National Interconnected Transmission System (NITS), operation and maintenance costs of existing mini-grids and additional costs borne by VRA to ensure grid stability and uninterrupted power supply in the nation. In addition, the Authority noted it had undertaken a number of thermal power plant initiatives and projects aimed at enhancing reliability and affordability while ensuring sustainability. The Authority therefore proposed a 47.80% increase in its existing Composite Bulk Generation Tariff of GHp45.7033/kWh to GHp67.5495/kWh in 2026.

With regards to electricity transmission, GRIDCo indicated that there has been an increase in cost of maintenance due to majority of the company's transmission lines located in densely forested vegetation coupled with high incidence of corrosion on coastal transmission backbone and increased transformer capacity at most substations. In addition, the company noted their inability to undertake short to medium term investments in the NITS due to high cost of financing and unavailability of funds. GRIDCo further noted that the company has embarked on and intends to undertake several capital projects aimed at improving reliability of the NITS to enhance customer satisfaction. To this end, the company proposed an increase of 107.45% in its existing Transmission Service Charge-1 of GHp6.2553/kWh to GHp12.9768/kWh in 2026.

The three Electricity Distribution Companies namely Electricity Company of Ghana (ECG), Northern Electricity Distribution Company (NEDCo) and Enclave Power Company (EPC) put forward numerous reasons as underpinning their tariff proposals.

ECG noted that instability of macroeconomic and market driven variables such as exchange and inflation rates have increased cost of both imported and local materials required by the company to serve its customers. In terms of investments, ECG stated that the company has undertaken regular investments to improve service delivery. The company also put forward a number of critical projects to be undertaken over the Tariff Control Period including technical and commercial/revenue enhancement works and strategies aimed at ensuring reliable and quality supply of power to customers as well as improve cash flows. In light of above, ECG proposed a 251% increase in existing Distribution Service Charge-1 of GHp 17.8900/kWh to GHp62.8204/kWh for 2026.

NEDCo, on the other hand indicated that a number of reasons in support of the Company's request for upward review of its Distribution Service Charge. These include the sparse nature of habitation in many of rural communities within its operational territory which continues to worsen with each square kilometer increase of distribution network. The company also noted the impact of increasing depreciation of Ghana Cedi and high inflation on its operations. NEDCo further indicated that a number of technical and commercial/revenue enhancement projects have been completed and plan to undertake. The company noted that failure to undertake these projects will result in increase in technical and commercial losses and poor quality of service. The company therefore proposed a 297.16% upward review in its existing in DSC-1 of GHp30.2031/kWh to GHp 119.9534/kWh for 2026.

In support of the company's proposal, EPC indicated that the need to undertake capital investments to support growing demand from its customers specifically from its greenfield site in Dawa. According to EPC, previous investments have been funded with loans at full commercial interest rates and more commercial borrowing would be required for the new infrastructure. With regards to improving system reliability and quality of service to customers, EPC indicated that a number of initiatives have been undertaken to cover system reliability enhancement, system automation, loss control, capacity building and customer responsiveness. In that regard, the company proposed an upward adjustment of 117.04% in its DSC-1 of GHp21.6220/kWh to GHp 46.9274/kWh for 2026.

In respect of Water Production, Transmission, Distribution and Supply, GWL noted the company's inability to raise enough revenue to finance much needed capital investment projects to increase urban water demand and coverage country-wide. Also, the company noted it is unable to undertake urgent repairs of assets, extensions as well as replacement of over-aged and obsolete equipment/pipelines resulting in the company not being able to meet its regulatory service delivery targets hence persistent customer complaints. In addition, the company is saddled with severe debt overhang because of non-payment of on-lend loans. GWL also noted the impact of exchange rate fluctuation on the real value of its tariff over time. Additionally, GWL indicated that several revenue enhancing projects in production, transmission and distribution improvement works have either been completed or ongoing. The company proposed a 297.81% increase from its existing Weighted Average Water Tariff of GHS13.6340/m³ to GHS54.2370/m³.

The Commission upon analyses and consideration of factors mentioned above, approved USD 7.8749/MMBtu as the Weighted Average Cost of Gas (WACOG) which was used in computation of Fuel Recovery Charges for power plants operating on Natural Gas for the 2026-2030 Tariff Control Period. A pass-through Composite Generation Charge of GHp125.7350/kWh for both VRA and Independent Power Producers (IPPs) was approved as cost of generating electricity for the regulated electricity market.

With regards to Electricity Transmission and Distribution, the Commission approved Annual Revenue Requirement (ARR) of GHS 1,828.81Million, GHS 4,817.45Million, GHS 1,785.93Million and GHS 116.18Million for GRIDCo, ECG, NEDCo and EPC respectively. This resulted in an average Transmission Service Charge Attributable to Network Operations of GHp9.9453/kWh, Distribution Service Charge Attributable to Network Operations of GHp30.9042/kWh for ECG, GHp84.1202/kWh for NEDCo and GHp39.1962/kWh for EPC.

In the determination of the total revenue requirement for the regulated electricity supply value chain, that is, Generation-Transmission-Distribution, the Commission also provided 2% of the Distribution Utilities' ARR to cover non-collectible revenue. The overall effect of the Commission's decision with respect to approved rates for regulated electricity market is an average increase of 9.86% across board for all category of customers.

Regarding water, the Commission approved total revenue requirement amounting to GHS 3,258.04 Million for the 2026-2030 tariff control period. To fully recover this revenue requirement, the Commission approved a 15.92% increase across board in water rates for all categories of customers.

The Commission wishes to urge Utility Service Providers, Consumers and other key Stakeholders to honour their obligations in terms of quality-of-service delivery vis-à-vis prompt payment electricity and water bills.

Abbreviations and Acronyms

Act	Public Utilities Regulatory Commission Act, 1997 (Act 538)
ARR	Annual Revenue Requirement
EC	Energy Commission
ECG	Electricity Company of Ghana
EMOP	Electricity Market Oversight Panel
EPC	Enclave Power Company
ESI	Electricity Supply Industry
GDP	Gross Domestic Product
GHS	Ghana Cedis
GNGLC	Ghana National Gas Limited Company
GNPC	Ghana National Petroleum Corporation
GoG	Government of Ghana
GRIDCo	Ghana Grid Company
GW	Gigawatt
GWL	Ghana Water Limited
GWh	Gigawatt-hour
IPP	Independent Power Producer
KTPP	Kpone Thermal Power Plant
kW	Kilowatt
kWh	Kilowatt-hour
MDAs	Ministries, Departments and Agencies
MoE	Ministry of Energy
NITS	National In
NEDCo	Northern Electricity Distribution Company
PURC	Public Utilities Regulatory Commission
O&M	Operation and Maintenance
RAB	Regulated Asset Base
RoR	Rate of Return
TARR	Total Annual Revenue Requirement
TI	Tariff Income
USD	United States of America Dollar
VRA	Volta River Authority
WACC	Weighted Average Cost of Capital
WACOG	Weighted Average Cost of Gas

1.0 INTRODUCTION

The Public Utilities Regulatory Commission (PURC) is mandated by Sections 3(a) and (b) of the Public Utilities Regulatory Commission Act, 1997 (Act 538) to perform the following functions:

- (i) to provide guidelines on rates chargeable for provision of utility services
- (ii) to examine and approve rates chargeable for provision of utility services

In accordance with Section 19 of the Act, the PURC on December 02, 2025, issued new utility tariffs, setting out rates chargeable for the supply of natural gas, electricity and water by Regulated Utilities to consumers in Ghana. These rates are contained in Appendix 3. The new rates approved by the Commission came into effect on January 01, 2026 and will remain in force until reviewed by the Commission. The Commission will undertake rate revisions under its Rate Setting Guidelines for Quarterly Review of Natural Gas, Electricity and Water Tariffs to ensure that targeted revenue requirements for the Regulated Utilities are achieved at any point in time.

It is worth noting that the tariff decision is the culmination of a major tariff review process which enabled the Commission to solicit relevant information/data from regulated utility companies, consumers and other stakeholders. The process included:

- Filings by the regulated utility companies, namely: Volta River Authority (VRA), Ghana National Gas Limited Company (GNGLC), Ghana Grid Company (GRIDCo), Electricity Company of Ghana (ECG), Northern Electricity Distribution Company (NEDCo), Enclave Power Company (EPC) and Ghana Water Limited (GWL).
- Submissions and written papers by other key stakeholders including Ghana National Petroleum Corporation (GNPC) and the public.
- Public consultations which provided the platform for the utility companies to make presentations to the public.

To restate, the new rates approved by the Commission are effective January 01, 2026: and remain in force until reviewed by the Commission. To this end and as noted earlier, the Commission will undertake periodic rate revisions to ensure that targeted revenue requirements for the Regulated Utilities are achieved.

2.0 PURC TARIFF DECISION AND PRINCIPLES

2.1 Tariff Decision

The Commission's tariff decisions are based on prudent and efficient costs which are key to the financial viability of the regulated public utilities. The decisions are also intended to foster economic growth by sending signals to the market.

In addition, the Commission's position is that the enhancement of the regulatory environment's operations must be assessed from this perspective.

In arriving at prudent and efficient costs of the utility companies, the Commission considered the performance of the utility companies since the last Major Tariff Review in 2022.

2.2 PURC Tariff Principles

In addition to the prudent and efficient cost criteria outlined in 2.1 above, the Commission took into consideration the legal requirements of the PURC Act, which legal requirements are listed in Table 2-1. The Commission also executes these legal requirements through its Rate Setting Guidelines and approval of rates.

Table 2-1 Summary of Relevant Sections in Act 538 on Determination of Tariffs

Relevant Section of Act 538	Objective
16 (3) (a)	Consumer interest
16(3) (b); 3(c)	Investor / Utility interest
16(3)(c)	Assuring reasonable cost of production of the service
16(3)(d)	Assurance of the financial viability of the public utility
20(1)	Uniformity of prices throughout the country
20(1)(a)	Population distribution
20(1)(b)	Best use of natural resources
20(1)(c)	Economic development of the country
20(2)	Different rates for different consumer classes

The Commission's interpretation of these provisions is summarised below:

- **Consumer Interest:** Ensuring value for money in terms of price, quality and reliability; maintaining an optimum balance between affordability and availability of service; fair apportionment of total cost of supply to various classes of consumers; provision of a minimum level of service (lifeline supply) at an affordable price to a specified category of residential customers; ensuring long term availability of service.
- **Investor/ Utility Interest:** Ensuring the utility or investor's ability to recover operational expenses and earn a reasonable return.
- **Reasonable Cost of Production:** Examination of the cost of production of a service by a public utility or others to exclude unreasonable or inefficient costs from the revenue requirement of the utility company.
- **Financial Viability:** Ensuring that the utility companies always maintain positive cash flows to achieve reasonable financial indices.
- **Uniformity of Prices and Population Distribution:** Allowance for a tariff structure which incorporates uniform rates for all customers within a particular consumer category

regardless of geographic location.

- **Economic Development of the Country:** Providing for “Special Rates” for priority consumers whose activities may enhance or significantly affect economic development.

3.0 REGULATORY AND POLICY CONSIDERATIONS UNDERLYING 2026-2030 MULTI-YEAR MAJOR TARIFF REVIEW DECISION

3.1 Regulatory Philosophy

The regulatory philosophy underpinning the determination of tariffs for the 2026-2030 Tariff Control Period is three-fold:

- i. Recovery of efficient and prudently incurred costs of supply of Utility Services to end consumers with a view to ensuring recovery of the Utility company's revenue requirement.
- ii. Recovery of reasonable and efficient costs, including return on assets.
- iii. Provision of economic signals through multi-year tariff reviews and quarterly adjustments which recognise existing infrastructure, to maintain the alignment of revenues and prices with trends in costs, considering the social and cultural environment.

In this regard, PURC employed a joint approach, which combines the determination of the revenue requirements with approved key performance indicators.

Guided by this philosophy, PURC's hybrid tariff methodology combines revenue cap principles and performance-based incentive mechanisms to encourage regulated utilities to work towards achieving the Commission's regulatory performance benchmarks. This methodology enables regulated utilities realize approved revenue requirements hence improve quality of service delivery to consumers.

The tariff methodology is based on the following objectives:

- i. Implementation of cost recovery tariffs, by providing the Utility the opportunity to achieve a regulated revenue requirement including a fair rate of return.
- ii. Introduction of pass-through mechanisms for timely recovery of pass-through costs, without earnings on those pass-through costs.
- iii. Development of effective regulatory policies to help provide needed capital to implement capital investment programs and secure efficient system expansion.
- iv. Development and implementation of an appropriate tariff structure to better track technical and economic characteristics of consumption and associated costs of servicing different customer categories.
- v. Fair allocation of total cost of supply to various classes of consumers.
- vi. Allowance for a tariff structure which incorporates uniform rates for all customers within a particular category of consumers regardless of geographic location.

3.2 Regulatory Control Period

To create a stable and predictable regulatory environment while taking into account current macroeconomic conditions, the Commission adopted a 5-Year Tariff Control Period in line with requirements of the Commission's Rate Setting Guidelines.

3.3 Policy Considerations

A number of key policies underpins PURC's 2026-2030 Multi-Year Major Tariff Review. These key policies include short-term capital investment expenditure, operating expenses, mini-grid tariff policy, system losses, depreciation, regulated asset base, return on regulated asset base and harmonisation of natural gas pricing for electricity generation.

3.3.1 Short-Term Capital Investment Expenditure

The Commission introduced the policy of short-term capital investments in the 2026-2030 Multi-year Major Tariff Review in line with the PURC's Rate Setting Guidelines for Investment Approval and Verification. This policy was designed to resolve bottle necks that impede quality of service delivery in the short term. Under this policy, the Commission approved a number of short-term investments for the regulated utilities and incorporated these investments as part of the tariffs. The investments include meters, reliability improvement projects, technical loss reduction projects, voltage improvement projects, commercial loss and revenue improvement projects. To this end, the Commission, will as part of its regulatory oversight responsibilities, periodically monitor both the execution and impact of these projects on the value chain and provide support where necessary.

3.3.2 Operating Expenses

The policy relating to operating expenses is to ensure prudence and efficiency in the determination of costs relating to operational activities of regulated utilities, using an operating efficiency percentage benchmark vis-à-vis approved regulatory asset base, which costs are then used in the Commission's tariff decision.

3.3.3 Mini-Grid Tariff Policy

The Commission, as a major policy to reduce the revenue gap faced by VRA in the operation and maintenance of the existing eight (8) mini-grids has incorporated the subsidy gap between the revenue received from the mini-grid customers and the actual cost of operating and maintaining these mini-grids.

3.3.4 System Losses

As part of the Commission's efforts at loss reduction over the 2026-2030 Tariff Control Period, the Commission approved annual loss reduction targets for Electricity Distribution Companies and the Water Company. These loss reduction targets set by the Commission for the regulated utilities are linked to approved short-term capital investments over the period. It is thus the expectation of the Commission that these investments will be carried out to realize the targets set which should in turn lead to improvement in performance, hence quality of service delivery to consumers.

3.3.5 Depreciation

The Commission's Rate Setting Guidelines, stipulates that depreciation expense shall be calculated on Net Revalued Fixed Assets that are deemed used and useful in providing utility services. Accordingly, the Commission approved these depreciation amounts in accordance with the Rate Setting Guidelines and made the necessary adjustments to account for grant supported investments, capital works in progress and fluctuations in exchange rate. Notably, depreciation was not applied to assets funded by grants and the Government.

3.3.6 Regulated Asset Base

The policy of the Commission with regards to regulated asset base as captured in the Rate Setting Guidelines is that the value of regulatory asset base at any tariff period shall be determined using inflation-adjusted historical cost of regulated assets less accumulated depreciation for the period under consideration plus net working capital. In line with the above, the Commission used the net replacement value of the regulated asset base of the utilities for the 2026-2030 Tariff Control Period.

3.3.7 Return on Regulated Asset Base

The policy outlined in the Rate Setting Guidelines specifies that the allowable rate of return must match the estimated Weighted Average Cost of Capital (WACC). In this context, the Commission calculated the WACC by accessing the cost associated with debt and equity along with the respective proportion of debt and equity in line with the PURC capital structure benchmark.

3.3.8 Harmonisation of Natural Gas Pricing for Electricity Generation

To streamline the pricing of natural gas in Ghana, the Commission continued its practice of harmonization of natural gas prices into a single price – the Weighted Average Cost of Gas (WACOG). This approach aims to consolidate the various gas sources and associated prices. The objective is to create a uniform price platform for monitoring plant efficiency and to prevent the passage of inefficient fuel costs in power generation to end users.

4.0 FILINGS IN RESPECT OF MAJOR TARIFF REVIEW

The requirements for filing of tariffs by public utilities are outlined in Sections 21 and 22 of the PURC Act 1997, (Act 538). Each public utility is required to file its tariff proposals with the Commission detailing the rates to be charged in accordance with the 2025 PURC tariff filing forms. In furtherance of this, the Commission notified the Regulated Utilities and other stakeholders of the commencement of the tariff filing process and requested them to file tariff proposals for the period 2026-2030 Tariff Control Period.

4.1 Preliminary Actions

Pursuant to foregoing legal and prudency test requirements which have been operationalised via various Water, Natural Gas and Electricity Rate Setting Guidelines as approved to guide discharge of the Commission's mandate, the Secretariat executed a number of key preparatory and preliminary actions in respect of the 2026-2030 Multi-Year Major Tariff Review. These actions are stated below:

I. February 25-27, 2025

In line with the Guidelines for Approval and Verification of Investments by Utility Service Providers, a preliminary investment hearing was held where the Utilities made presentations on their proposed 5-year investment plans. The objective of this hearing was to serve as a precursor to the main investment hearing to be conducted as well as ensure compliance with the contents of the investment plans as stipulated in the aforementioned Guidelines.

II. April 17, 2025

The Utilities submitted their revised 5-year investment plans incorporating inputs from the preliminary investment hearing conducted in February 2025.

III. July 07-10, 2025

The investment hearing panel constituted by the Board conducted the first-ever investment hearing for the Utilities over a 4-day period. The Utilities presented their critical, short-term, medium-term and long-term investment plans to the Panel. There was a cross-examination of their investment plans and where gaps were identified, Utilities were requested to rectify as well as submit additional documentation in support of the investment plans.

IV. July 16, 2025

The Utilities submitted final investment plans with justification in the form of project benefits and supporting documentation for review and recommendation by the investment hearing panel and subsequent approval by the Board of the Commission.

V. August 12, 2025

The PURC Board gave their approval on key short term critical investments to be undertaken by the Utilities to improve quality of natural gas, electricity and water supply services.

VI. August 13, 2025

Following the decision on approval of investment plans by the Board, each Utility was informed of list of critical investments that can be incorporated as part of their tariff proposal submissions.

VII. August 14, 2025

The Secretariat requested the utility service providers to submit their tariff proposals by incorporating approved critical investments. In addition, the tariff proposals were to reflect the tariff control period of 2026-2030.

4.2 Tariff Procedure

The following procedure per the Commission's Rate Setting Guidelines was adopted.

i. Request for Papers

The Commission commenced the tariff review process in August 2025 by inviting submissions on natural gas, electricity and water tariffs from interested persons.

ii. Utility Proposals

The following Regulated Utilities filed tariff proposals by August 21, 2025, requesting adjustment of rates chargeable for their services:

1. Ghana National Gas Limited Company
2. Volta River Authority
3. Ghana Grid Company Limited
4. Electricity Company of Ghana Limited
5. Enclave Power company Limited
6. Northern Electricity Distribution Company
7. Ghana Water Limited

iii. Tariff Proposal Publication and Hearings

For a transparent and holistic public involvement, the Commission directed all regulated utility companies to publish summaries of their proposals to enable interested parties to examine the bases of their requests by August 29, 2025. This was followed by Stakeholder consultations commencing September 8-25, 2025. Public hearings were also held regionally from September 17, 2025 to October 30, 2025.

iv. Examination of Tariff Proposals

As stated in Section 16 of the PURC Act 1997 (Act 538), the Commission is required to consider consumer interest, investor interest, the cost of production of the service, and assurance of the financial integrity of the public utility in its Rate Setting Guidelines. These factors form the foundation for the Commission's examination and approval by the Commission. The Commission reviewed all presentations made by regulated utility companies and key stakeholders while making this tariff decision.

4.3 Summary of Tariff Submissions by Regulated Utility Companies

Regulated Utilities submitted their proposals to the Commission for review and approval regarding service provision levels, associated costs as well as revenue requirement. A summary of these submissions are presented in the following sections.

4.3.1 Volta River Authority (VRA)

VRA's tariff proposal focused on six key areas:

- The proposed power purchase tariffs for Electricity Distribution Companies (DisCos namely ECG, NEDCo and EPC)
- prices for reactive power compensation
- forecast electrical energy supply for regulated electricity market
- cost of operation and maintenance for mini-grids
- rationale underpinning tariff submission
- key policy issues for tariff consideration.

4.3.1.1 VRA Proposed Power Purchase Tariffs for DisCos

VRA proposed power purchase tariffs and electrical energy allocation for DisCos as part of the Authority's tariff proposal for the 2026-2030 Tariff Control Period. Data in respect of above is presented in Table 4-1.

Table 4-1 Summary of Proposed Power Purchase Tariffs and Electrical Energy Allocation by DisCos

Item Description	Existing Tariff (USCents/kWh)	Proposed Tariff (USCents/kWh)	VRA Electrical Energy Allocation By DisCos (GWh)			Total
			ECG	NEDCo	EPC	
Power Plant:						
Akosombo	2.0208	3.9519	2,903.0	740.0	46.0	3,689.0
Kpong	4.1428	9.5427	520.0	132.0	8.0	660.0
TAPCo	10.0497	8.6226	80.0	1,540.0		1,620.0
TT1PP	10.4207	12.4854				
KTPP	10.3126	15.3505			254.0	254.0
AMERI	9.9324	10.7476	69.0			69.0
Navrongo Solar	12.4918	12.4918		3.0		3.0
Lawra Solar	9.0000	9.0000		9.0		9.0
Total VRA Generation			3,572.0	2,424.0	308.0	6,304.0
Weighted Bulk Generation Charge (USCents/kWh)			5.0017	7.7329	13.4973	

Source: 2026-2030 VRA Tariff Proposal

4.3.1.2 Reactive Power Compensation

VRA proposed compensation for reactive power generation by the Authority. The Authority noted that reactive power generation is necessary to ensure voltage stability, system reliability and efficient power delivery on the transmission network. VRA therefore requests the Commission to approve a cost reflective tariff for reactive power being provided by the Authority of which proposed charges is presented in Table 4-2.

Table 4-2 Summary of Proposed Reactive Power Charges by Power Plant

Power Plant	Measure	2025	2026	2027	2028	2029	2030
Akosombo	GHS/kVar/Year	932.46	1,184.30	1,257.96	1394.95	144.24	1,486.29
Kpong	GHS/kVar/Year	1,843.96	1,882.50	2,029.21	2,087.40	2,111.86	2,133.13

Source: 2026-2030 VRA Tariff Proposal

4.3.1.3 VRA Forecast Electrical Energy Supply

VRA presented forecast electrical energy supply by power plant for the regulated electricity market as shown in Table 4-3.

Table 4-3 Summary of VRA Forecast Electrical Energy Supply by Power Plant for Regulated Electricity Market 2026-2030

Item Description	Measure	2025	2026	2027	2028	2029	2030
Forecasted Supply:							
Akosombo GS	GWh	6450	5513	5072	4690	4690	4690
Kpong GS	GWh	1000	987	928	910	910	910
TAPCo	GWh	2222	2234	2234	2234	2234	2234
TT1PS	CWh	383	482	482	482	482	482
KTPS	GWh	481	460	460	460	460	1526
ATPS	GWh	1519	1813	1813	1813	1813	1813
VRA Renewable Plants:							
Navrongo Solar plant	GWh	4	3	3	3	3	3
Lawra/Kaleo Solar Plant	GWh	10	9	9	9	9	9
Total VRA Renewable Generation	GWh	14	12	12	12	12	12
VRA Thermal Generation Under Development							
Takoradi 3 Project (T3)	GWh				1041	1041	1041
Total Forecasted VRA Supply for Regulated Electricity Market	GWh	12,069	11,501	11,001	11,642	11,642	12,708

Source: 2026-2030 VRA's Tariff Proposal

4.2.4 Operation and Maintenance of Mini Grids

The Authority proposed the inclusion of Operation and Maintenance costs (O&M) for eight (8) existing Mini-Grids in Ghana as part of the grid-connected costs. The mini-grid proposal is in response to a directive from the Ministry of Energy, assigning the VRA to be responsible for the operation and maintenance of both generation and distribution of the Island mini-grids across the country. The mini-grids are situated in island communities on the Volta Lake in the Oti Region and near Ada in the Greater Accra Region. VRA reports that the revenue generated from mini-grid customers is insufficient to cover the total O&M costs for these installations. Table 4-4 provides a summary of the proposed operation and maintenance costs for the eight mini-grids, along with the subsidy gap required.

Table 4-4 Summary of VRA proposed Cost of Operation and Maintenance Expense for 8 Mini-Grids

Item	Amount (GHS)
Total Annual Cost for OPEX of the Eight Pilot Mini Grids	2,437,072.61
Total Revenue from Eight (8) Facilities	494,336.55
Subsidy Gap Needed to Break Even	1,942,736.06

Source: 2026-2030 VRA's Tariff Proposal

The Authority stated that the reasons for requesting tariff adjustments include the cost of power supply, losses due to foreign exchange, the expenses associated with liquid fuels, the costs of providing ancillary services to the NITS, and the necessity to undertake projects aimed at improving generation efficiency and expanding capacity to enhance power supply and reliability.

4.3.2 Ghana Grid Company Limited (GRIDCo)

GRIDCo submitted a proposal that includes an Electricity Supply Plan and a revenue requirement request for the 2026-2030 tariff control period. Details of the Electricity Supply Plan for 2025 can be found in Table 4-5, while the revenue requirement details are outlined in Table 4-6.

Table 4-5 Summary of Proposed Transmission Service Charge for 2026-2030

Tariff	Measure	2025	2026	2027	2028	2029	2030	Average
Transmission Service Charge-1 (GRIDCo)	GHp/kWh	12.9768	13.0468	12.9798	13.1088	13.1156	13.4449	13.1121

Source: 2026-2030 GRIDCo's Tariff Proposal

A comparative review of GRIDCo's existing TSC-1 of GHp 6.2553/kWh with the proposed TSC-1 of GHp 8.9181/kWh for 2026 indicates a **108.6%** upward adjustment in TSC-1. However, the average for the tariff control period indicate **110%** upward adjustment in the TSC-1

4.3.2.1 2025 Electricity Supply Plan

The 2025 electricity supply plan outlines electrical energy consumption by customers and the supply from generation plants for the period 2026–2030. This information is detailed in Tables 4-6 and 4-7, respectively.

Table 4-6 2025 Electricity Supply Plan Indicating Electrical Energy Consumption by Customer and Supply by Generation Plant

Customer Category	Projected Consumption (GWh)
Projected Energy Consumption	
Domestic	24,372
VALCO	850
Export (CED+ SONABEL +CIE)	3,117
Total	28,339
Generation Sources:	
VRA Power Plants:	
Akosombo GS	6,450
Kpong GS	1,000
T1	1,866
T2	1,785
TT1PP	383
KTPP	662
ATPS	1,154
VRA Kaleo Solar Power Plant	44.2
VRA Navrongo Solar Power Plant	3.9
VRA Lawra Solar Power Plant	10
Import from Cote d'Ivoire	0
Total - VRA	13,358
IPP Power Plants	
Bui GS	1,211
Bui Solar	173.6
Sunon Asogli I	712
Sunon Asogli II	2,282
CENIT	0
KARPOWER	2,903
AKSA	1,296
CENPOWER	2,318
Twin City	1,601
Early Power	1,331
Meinergy	25
BXC Solar	27
Genser	1098
Total IPPs	14,978
Total Supply (GWh)	28,336

Source: 2025 Electricity Supply Plan

Details of GRIDCo's proposed Electricity Supply Plan for 2025, as presented in Table 4-4, indicate that GRIDCo projects to transmit a total energy volume of 28,336 GWh to both regulated and deregulated electricity markets.

4.3.2.2 Technical, Economic and Financial Assumptions

GRIDCo submitted the following technical, economic and financial assumptions, as presented in Table 4-7.

Table 4-7 Summary of GRIDCo's Proposed Technical, Economic & Financial Assumptions 2026-2030

Item	Measure	Cost By Regulatory Year					
		2025	2026	2027	2028	2029	2030
Electricity Available for Dispatch	GWh	28,339	30,983	33,208	35,280	38,334	41,966
Total Electricity Sales	GWh	27,143	29,613	31,746	33,728	36,655	40,128
Transmission Loss	%	4.22	4.42	4.4	4.4	4.38	4.38
Operation & Maintenance Costs	MGHS	112.31	140.94	163.25	187.17	225.35	251.95
Administrative & General Costs	MGHS	79.48	84.83	92.45	100.53	109.91	117.33
Human Resource Costs	MGHS	256.33	280.61	320.30	366.16	390.87	450.77
Depreciation	MGHS	200.45	213.31	227.18	244.91	250.82	259.91
Return on Regulated Asset Base	MGHS	1,033.74	1,164.58	1,436.42	1,470.92	1,525.34	1,587.49
Cost of Working Capital	MGHS	306.01	331.70	425.54	454.54	483.67	480.52
Corporate Tax	MGHS	20.03	34.25	12.31	13.23	103.87	61.61
Total Revenue Requirement	MGHS	2,008.35	2,250.22	2,677.45	2,837.46	3,089.83	3,209.58

Source: GRIDCo's Tariff Proposal, 2026-2030

As indicated in Table 4-7, GRIDCo proposed a total revenue requirement ranging from GHS 2,250.22Million in 2026 to GHS 3,209.58Million in 2030. This request, according to GRIDCo, is in respect of transmission services the company would provide for the Tariff Control Period.

The Company noted that its request for upward review of operational costs by PURC is underpinned by the impact of Cedi depreciation on its operations, increasing cost of maintenance and financing, the need to upgrade transmission network capacity, the replacement of aged and obsolete assets to meet growth in demand, as well as improve the quality and reliability of supply.

4.3.3 Electricity Company of Ghana Limited (ECG)

ECG's tariff proposal covered adjustment in the Company's distribution service charge, rationale for the level of tariff being proposed, key policy issues for tariff consideration, as well as underlying technical, economic, and financial assumptions.

Table 4-8 Summary of Proposed Distribution Service Charge for 2026-2030

Tariff	Measure	2025	2026	2027	2028	2029	Average
Distribution Service Charge-1 (ECG)	GHp/kWh	64.6410	62.8204	60.6931	59.0567	57.1456	60.8714

Source: 2026-2030 ECG Tariff Proposal

A comparative review of ECG's existing DSC-1 of GHp 17.8900/kWh with the proposed DSC-1 of GHp 64.6410/kWh for 2025 indicates a **261.3%** upward adjustment in DSC-1. However, the average for the tariff control period indicates **240.3%** upward adjustment in the DSC-1.

4.3.3.1 Technical, Economic and Financial Assumptions

A number of key technical, economic and financial assumptions were identified by ECG as underlying their tariff proposal for the 2026-2030 Tariff Control Period. A summary of these assumptions is presented in Table 4-9 and Table 4-10.

Table 4-9 Summary of ECG's Technical, Economic and Financial Assumptions

Item	Measure	Cost By Regulatory Year				
		2025	2026	2027	2028	2029
Power Purchases @ Bulk Supply Point	GWh	17,777	18,700	19,664	20,671	21,721
Power Sales	GWh	13,155	14,025	14,945	15,917	16,942
System Losses	%	26.0%	25.0%	24.0%	23.0%	22.0%
Operation & Maintenance Expenses	MGHS	983.83	1,049.75	1,120.29	1,195.35	1,275.44
Administrative & General Expenses	MGHS	836.77	892.84	952.83	1,016.67	1,084.79
Human Resource Expenses	MGHS	1,464.23	1,562.33	1,667.32	1,762.19	1,880.26
Customer Service Expenses	MGHS	760.69	811.66	866.20	924.24	986.16
Interest on Working Capital	MGHS	31.02	33.51	37.97	41.04	37.09
Capital Recovery Payments	MGHS	659.83	659.83	659.83	659.83	659.83
Depreciation	MGHS	1,518.81	1,518.81	1,518.81	1,518.81	1,518.81
Return on RAB	MGHS	2,123.48	2,123.48	2,123.48	2,123.48	2,123.48
Corporate Tax	MGHS	124.86	158.23	123.82	158.41	115.91
Total Revenue Requirement	MGHS	8,503.5	8,810.4	9,070.6	9,400.0	9,681.8

Source: ECG's Tariff Proposal, 2026-2030

As shown in Table 4-9, ECG proposed a total revenue requirement ranging from GHS 8,810.4Million in 2026 to GHS 9,681.8Million over the 5 years.

4.3.3.2 ECG System Demand, Electrical Energy Supply and Procurement Cost Data

ECG's projected system peak demand over five (5) years, as well as electrical energy supply from VRA power plants and bilaterally contracted power plants, are presented in Table 4-10.

Table 4-10 Summary of ECG System Demand and Supply Data 2026-2030

Item Description	Measure	2025	2026	2027	2028	2029	2030
Peak Demand	MW	2524	2616	2751	2892	3039	3191
Supply Sources:							
Embedded Generation- Renewables (Solar & Biomass):							
BXC	GWh	37	37	37	37	37	37
Meinergy	GWh	37	37	37	37	37	37
Safisana	GWh	1	1	1	1	1	1
Total Renewables	GWh	74	74	74	74	74	74
Hydro Generation:							
Akosombo (VRA)	GWh	3,316	3,316	3,316	3,316	3,316	3,316
Kpong (VRA)	GWh	606	606	606	606	606	606
Bui	GWh	1,030	1,030	1,030	1,030	1,030	1,030
Total Hydro	GWh	4,953	4,953	4,953	4,953	4,953	4,953
Thermal Generation:							
VRA:							
TapCo (VRA) - NG	GWh	373	373	373	373	373	373
Ameri (VRA) - NG	GWh	1,117	1,861	1,861	1,861	1,861	1,861
Total VRA Thermal	GWh	1,490	2,234	2,234	2,234	2,234	2,234
IPPs:							
Amandi (NG)	GWh	1,612	1,612	1,612	1,612	1,612	1,612
Cenpower (NG)	GWh	982	982	982	982	982	982
Karpowership (NG)	GWh	784	962	1,927	2,934	3,627	3,627
Cenit (NG)	GWh	-	-	-	-	-	-
Sunon Asogli Power 1 (NG)	GWh	-	-	-	-	357	1,077
Sunon Asogli Power 2 (NG)	GWh	1,410	1,410	1,410	1,410	1,410	1,410
Early Power (NG)	GWh	1,612	1,612	1,612	1,612	1,612	1,612
AKSA Energy (NG)	GWh	725	725	725	725	725	725
AKSA Energy (HFO)	GWh	1,088	1,088	1,088	1,088	1,088	1,088
Cenpower (LCO)	GWh	1,310	1,310	1,310	1,310	1,310	1,310
Cenpower (DFO)	GWh	327	327	327	327	327	327
Sunon Asogli Power 2 (LCO)	GWh	1,410	1,410	1,410	1,410	1,410	1,410
AKSA Kumasi	GWh	-	-	-	-	-	372
Total Thermal (IPPs)	GWh	11,261	11,439	12,404	13,411	14,460	15,553
Total Thermal (VRA+IPPs)	GWh	12,751	13,673	14,638	15,645	16,695	17,787
Grand Total	GWh	17,777	18,700	19,664	20,671	21,721	22,813

Source: ECG's Tariff Proposal, 2026-2030

ECG projected its system peak demand to increase from 2,616MW in 2026 to 3,191MW in 2030. Electrical energy supply from VRA and Independent Power Producers (IPPs) is projected to increase from 18,700GWh in 2026 to 22,813GWh in 2030.

With regards to the rationale underpinning ECG's request for upward review of its tariffs, the company indicated that a change in macroeconomic and market-driven variables, such as exchange and inflation rates have increased the cost of both imported and local distribution materials required by ECG to serve its customers, as well as exchange rate losses. In addition, ECG indicated the need to undertake some critical investments to improve service quality and reduce system losses.

4.3.4 Northern Electricity Distribution Company (NEDCo)

NEDCo's proposal submission dwelt on rationale underpinning the company's tariff proposal and economic, technical as well as financial assumptions for the regulatory control period. A summary of NEDCo's Distribution Service Charge (DSC-1) are presented in Table 4-11.

Table 4-11 Summary of Proposed NEDCo DSC for 2026-2030

Tariff	Measure	2026	2027	2028	2029	2030	Average
Distribution Service Charge-1 (NEDCo)	GHP/kWh	119.9534	118.0790	115.2662	112.5408	112.1422	115.5963

Source: 2026-2030 NEDCo's Tariff Proposal

A review of NEDCo's existing DSC-1 of GHP 30.2031/kWh with proposed DSC-1 of GHP 119.9534/kWh for 2026, indicates a **297.16%** upward adjustment in DSC. However, average for the tariff control period indicates a **282.73%** upward adjustment in the DSC-1.

4.3.4.1 Technical, Economic and Financial Assumptions

NEDCo identified a number of key technical, economic and financial assumptions as underlying the company's proposed tariffs. A summary of these assumptions is presented in Table 4-12.

Table 4-12 Summary of NEDCo's Technical, Economic and Financial Projections

Item	Measure	Cost By Regulatory Year					
		2025	2026	2027	2028	2029	2030
Power Purchase	GWh	2,284	2,444	2,619	2,807	3,009	3,221
Power Sales	GWh	1,804	1,931	2,069	2,218	2,377	2,545
Operation & Maintenance Expenses	MGHS	116.28	111.87	118.67	128.93	123.75	134.31
Administrative & General Expenses	MGHS	160.54	171.62	182.18	193.11	193.11	204.69
Human Resource Expenses	MGHS	507.54	536.90	579.85	637.83	701.61	771.78
Depreciation	MGHS	756.38	729.68	762.24	778.74	808.29	850.26
Return on Average Net Fixed Assets	MGHS	793.98	765.95	800.13	817.45	848.46	892.52
Total Revenue Requirement	MGHS	2,334.71	2,316.01	2,443.07	2,556.06	2,675.22	2,853.56
Average Net Fixed Assets	MGHS	26,465.83	25,531.65	26,670.99	27,248.38	28,282.06	29,750.67
Return on ANFA	%	3	3	3	3	3	3

Source: NEDCo's Tariff Proposal, 2026-2030

The summary of the data presented in Table 4-9 indicates that NEDCo anticipates energy sales of 1,931 GWh in 2026, rising to 2,545 GWh by 2030.

In terms of revenue, NEDCo has requested a total revenue requirement of GHS 2,316.01 million for 2026, with expectations for this amount to increase to GHS 2,853.56 million in 2030.

The company attributes these requests to several factors, including the increasing depreciation of the Ghanaian cedi against the US dollar, high inflation rates, rising costs of essential materials and equipment necessary for service provision, and the imperative to expand, upgrade, and replace outdated distribution networks. These measures are crucial for accommodating growing demand, minimising system losses, and enhancing the quality and reliability of supply.

4.3.5 Enclave Power Company Limited (EPC)

EPC's proposal outlines an adjustment to the company's distribution service charge, detailing the rationale for the proposed tariff level alongside the underlying technical, economic, and financial assumptions. A summary of EPC's Distribution Service Charge (DSC-1) is provided in Table 4-13.

Table 4-13 Summary of Proposed EPC DSC for 2026-2030

Tariff	Measure	2026	2027	2028	2029	2030	Average
Distribution Service Charge-1 (EPC)	GHP/kWh	46.9274	53.2473	52.4248	63.7214	65.9890	51.4268

Source: 2026-2030 EPC's Tariff Proposal

A review of EPC's existing DSC-1 of GHp21.6220 /kWh with the proposed 2026 DSC-1 of GHp 46.9274/kWh indicates an **117.04%** upward adjustment in DSC-1. However, the average for the tariff control period indicates **137.84%** upward adjustment in the DSC-1.

4.3.5.1 Technical, Economic and Financial Assumptions

EPC identified a number of key technical, economic, and financial assumptions underpinning the company's proposed distribution tariffs. A summary of these assumptions is presented in Table 4-14.

Table 4-14 Summary of EPC Projected Technical, Economic and Financial Assumptions

Item	Measure	Cost By Regulatory Year					
		2025	2026	2027	2028	2029	2030
Power Purchases	GWh	398	491	573	649	723	803
Power Sales	GWh	368	388	468	469	540	617
Operation & Maintenance Expenses	MGHS	6.57	8.80	9.85	12.06	15.13	18.91
Administrative & General Expenses	MGHS	10.46	12.37	14.84	17.65	21.18	21.64
Human Resource Expenses	MGHS	23.85	24.06	25.26	27.81	29.49	32.36
Depreciation	MGHS	38.93	46.88	54.14	68.04	78.32	91.21
Interest on Local Loans	MGHS						
Return on Equity	MGHS	43.32	55.19	69.90	87.86	109.48	135.21
Interest on Working Capital	MGHS	0.40	0.48	0.56	0.62	0.69	0.75
Corporate Tax	MGHS	49.13	58.96	70.75	84.90	101.87	122.25
Total Revenue Requirement	MGHS	172.67	206.75	245.29	298.94	356.16	422.32

Source: EPC's Tariff Proposal, 2026-2030

EPC proposed an energy sales volume of 388GWh in 2026. This is projected to increase to 617 GWh in 2030 to serve customers within the regulated market but located in Free Zone areas. Details of data presented in Table 4-14 indicate that EPC requests recovery of revenue requirement amounting to GHS 206.75Million in 2026. This request, the Company noted, is expected to increase to GHS 422.32Million in 2030.

In relation to the rationale behind EPC's tariff proposal, the company has highlighted the necessity for additional capital investments in network infrastructure to address the increasing demand from customers and to achieve its technical and commercial performance targets.

4.3.6 Ghana Water Limited (GWL)

GWL's tariff proposal underscores significant issues and the necessity for an upward review of the company's average end-user water tariff by the PURC. The company provided a summary of its proposed tariff, categorised by cost item and customer segment. The subsequent sections outline the rationale for the proposed tariff adjustment, incorporating the underlying economic, technical, and financial assumptions.

4.3.6.1 Proposed Water Tariff by Customer Category

A summary of GWL's proposed water tariffs by cost item and customer category is presented in Table 4-15 and Table 4-16.

Table 4-15 Summary of Proposed Water Tariff by Cost Item for 2026-2030

Proposed Tariffs	Measure	Period (Year)					
		2025	2026	2027	2028	2029	2030
GWL OpEx	GHS/m ³	37.06	42.64	50.07	59.8	69.91	81.01
GWL OpEx & Depreciation	GHS/m ³	42.95	49.08	57.16	67.58	78.46	90.41
GWL OpEx & CRC	GHS/m ³	44.31	50.58	58.8	69.43	80.49	92.65
GWL Grand Total	GHS/m ³	47.11	53.85	62.07	72.77	83.57	95.59
DESAL OpEx	GHS/m ³	54.54	62.69	64.35	67.6	65.88	66.18
GWL OpEx & DESAL OpEx	GHS/m ³	37.83	43.52	50.71	60.14	69.73	80.35
GWL OpEx, Depreciation & DESAL OpEx	GHS/m ³	43.46	49.69	57.48	67.58	77.91	89.34
GWL OpEx, CRC & DESAL OpEx	GHS/m ³	44.76	51.11	59.04	69.35	79.85	91.48
GWL & DESAL Grand Total	GHS/m ³	47.44	54.24	62.17	72.55	82.79	94.29

Source: 2026-2030 GWL Tariff Proposal

Table 4-16 Summary of Proposed Water Tariff by Customer Category for 2026-2030

Category	Existing Tariff GHP/m ³	Proposed Tariff GHP/m ³	Proposed Increase %	Expected Sales m ³	Expected Revenue GHS	Customers No.
Residential						
0-5	528.1760	1,509.7720	185.85	6,486,508	97,931,476	315,210
5 and above	934.4558	2,555.7146	173.50	107,005,907	2,734,765,535	419,459
Bulk Supply	896.8042	4,412.4458	392.02	392,573	17,322,083	11
Non Residential	1,580.9172	9,659.6814	511.02	8,139,204	786,221,136	27,431
Commercial	2,828.3569	13,562.2317	379.51	9,586,649	1,300,163,593	40,910
Industrial	2,828.3569	13,562.2317	379.51	7,675,334	1,040,946,622	522
Public Distribution/Gov't Depts	1,357.6113	6,165.8711	354.17	22,755,060	1,403,047,687	7,126
Public Standpipe	632.7664	2,407.7508	280.51	3,725,139	89,692,074	8,629
Port & Harbour	3,699.4909	15,076.9993	307.54	626,708	94,488,724	26
Bottled Water Producers	2,828.3569	13,562.2317	379.51	3,028,983	410,797,744	35
Sachet Water Producers	2,488.9541	9,470.7640	280.51	1,298,687	122,995,600	1,087
Total				170,720,752	8,098,372,274	820,446

Source: 2026-2030 GWL Tariff Proposal

A comparative review of GWL's existing average tariff of GHP 13.6340/kWh with a proposed average tariff of GHP54.2370/kWh for 2026 indicates a **297.81%** upward adjustment in GWL's tariff.

4.3.6.2 Technical, Economic and Financial Assumptions

From a technical, economic and financial perspective, GWL submitted underpinning assumptions shown in Table 4-17 with regard to its proposed revenue requirements and tariffs.

Table 4-17 Summary of GWL's Proposed Economic, Technical and Financial Projections for 2026-2030

Item	Measure	Cost By Regulatory Year					
		2025	2026	2027	2028	2029	2030
Total Production	m3	342,891,837	343,500,658	343,500,658	343,500,658	343,500,658	343,500,658
Total Sales	m3	170,720,753	174,458,161	177,892,377	181,326,593	184,760,808	188,195,024
Non-Revenue Water	%	50.21	49.21	48.21	47.21	46.21	45.21
Recurrent Expenditure							
Personnel Cost	GHS	1,149,758,740	1,421,101,802	1,756,481,828	2,171,011,539	2,683,370,262	3,316,645,644
Chemicals	GHS	336,604,712	402,495,085	481,283,498	575,494,742	688,147,838	796,806,382
Electricity Consumption	GHS	661,374,339	740,739,260	829,627,971	954,072,167	1,068,560,827	1,196,788,127
VAT/NHIS	GHS	132,274,868	148,147,852	165,925,594	190,814,433	213,712,165	239,357,625
Fuel	GHS	58,741,275	70,113,586	85,461,450	108,348,026	128,869,142	149,217,579
Materials	GHS	78,353,498	93,522,735	113,994,861	144,522,685	171,895,282	199,037,547
Reagents	GHS	7,523,027	8,979,485	10,945,094	13,876,190	16,504,341	19,110,376
Hiring of Equipment	GHS	8,095,493	9,662,780	11,777,962	14,932,101	17,760,241	20,564,583
Overheads	GHS	353,339,950	421,746,564	514,066,887	651,733,999	775,172,418	897,572,143
R&M	GHS	543,458,449	648,672,004	790,666,306	1,002,406,743	1,192,262,580	1,380,520,841
Financial Cost	GHS	20,296,961	24,226,453	29,529,623	37,437,657	44,528,349	51,559,375
Exchange Loss	GHS	25,548,158	30,494,281	37,169,479	47,123,465	56,048,650	64,898,731
Levies	GHS	35,770,254	42,695,375	52,041,392	65,978,077	78,474,325	90,865,421
Crop and Land Compensation	GHS	6,527,032	7,310,275	8,187,508	9,170,009	10,270,410	11,502,860
Pipeline Right of Way & Vegetation	GHS	17,142,700	17,860,000	17,860,000	17,860,000	17,860,000	17,860,000
Construction of Customer Service	GHS	10,800,000	10,937,688	10,937,688	10,937,688	10,937,688	10,937,688
Construction of Regional Laboratories	GHS	27,250,000	63,900,000	63,900,000	63,900,000	63,900,000	63,900,000
Capital Maintenance	GHS	1,819,075,236	2,171,248,202	2,591,601,854	3,093,335,973	3,692,205,817	4,407,016,863
Meters	GHS	627,557,299	749,052,392	913,019,960	1,157,526,706	1,376,762,264	1,594,153,025
Plant Water Quality Laboratories	GHS	128,000,000	26,666,667	29,866,667	33,450,667	37,464,747	41,960,516
Cash Operating Expenses	GHS	6,047,491,989	7,109,572,486	8,514,345,624	10,363,932,868	12,344,707,347	14,570,275,327
Capital Recovery Cost							
Return on Assets (Cost of Equity)	GHS						
Interest on Loans (Cost of Debt)	GHS	222,046,267	248,691,820	278,534,838	320,315,064	358,752,871	401,803,216
Depreciation	GHS	960,226,438	1,075,453,611	1,204,508,044	1,349,049,009	1,510,934,890	1,692,247,077
Loan Repayment (Principal)	GHS	456,931,560	545,393,510	556,953,879	579,297,832	543,474,398	529,081,054
Sub-Total	GHS	1,639,204,266	1,869,538,941	2,039,996,761	2,248,661,905	2,413,162,159	2,623,131,346
GWCL Grand Total	GHS	7,686,696,254	8,979,111,426	10,554,342,385	12,612,594,773	14,757,869,506	17,193,406,674
Desalination							
Capacity Charge	GHS	264,752,334	316,008,386	322,706,620	335,653,009	314,896,426	306,556,728
Water Charge	GHS	32,672,635	38,998,057	39,824,675	41,422,367	38,860,832	37,831,644
Electricity Cost	GHS	114,251,044	127,961,170	143,316,510	164,813,986	184,591,665	206,742,665
Desalination Total Cost	GHS	411,676,014	482,967,613	505,847,805	541,889,362	538,348,923	551,131,037
Total Estimated Revenue Require	GHS	8,098,372,268	9,462,079,039	11,060,190,189	13,154,484,135	15,296,218,429	17,744,537,710

Source: 2026-2030 GWL Tariff Proposal

As indicated in Table 4-17, GWL projected an average annual total production volume of 343.50 Mm³ for the tariff control period. The total sales volume to consumers is expected to rise from 174.46 Mm³ in 2026 to 188.19 Mm³ in 2030.

To enable GWL to recover the full cost of its operations, the company has proposed a total revenue requirement ranging from GHS 9,462.08 million in 2026 to GHS 17,744.54 million in 2030, as detailed in Table 4-17.

According to GWL, the company's request for an increase in tariffs is primarily due to several factors: the depreciation of the Ghana cedi against the US dollar, a shift in the government's economic policies concerning the repayment of on-lent loans, and the necessity for adequate funds to make critical investments aimed at expanding service coverage, improving supply quality, and reducing non-revenue water losses.

5.0 TARIFF SETTING METHODOLOGY

5.1 Introduction

The PURC's Tariff Methodology Building Blocks focuses on establishing the following elements:

1. Service Levels
2. Revenue Requirements
3. Conversion of the Determined Revenue Requirement into Rates Payable by Consumers

5.2 2026-2030 Multi-Year Major Tariff Review Methodology

The Commission's tariff methodologies for determining the cost components of the revenue requirement, including operation and maintenance expenses, administrative and general expenses, human resource expenses, and financing costs (both return on and of capital) are detailed in its approved Rate Setting Guidelines for Natural Gas, Electricity, and Water.

5.3 Determination of Service Levels

As a key component in the Commission's tariff decision, transmission system loss, distribution system loss, non-revenue water, revenue collection ratios and quality of service index as service levels were determined as obligatory standards for the regulated utilities to deliver over the tariff period. These outcomes reflect regulatory benchmarks and legislative obligations which Regulated Utilities must meet in accordance with licensing and other regulatory benchmarks.

5.4 Determination of Revenue Requirements

The Commission's determination of revenue requirements for regulated utility service providers was to be conducted in accordance with the Rate Setting Guidelines approved by the Commission. In alignment with the Commission's Rate Setting Guidelines, all Regulated Public Utilities (GWL, GNGLC, VRA, GRIDCo, ECG, NEDCo, and EPC) submitted technical, economic, and financial data. This data was utilised by the Commission in its decisions regarding the approval of expenses related to operation and maintenance, administrative and general expenses, human resource costs, and financing costs. This included both the return on and of capital, ensuring that regulated utilities are adequately equipped to deliver efficient outcomes.

5.4.1 Natural Gas Revenue Requirement

The Commission's determination of the natural gas revenue requirement for the 2026-2030 tariff control period involved an analysis of gas commodity volume and price by source, treated as a pass-through cost, alongside the regulated costs associated with gas gathering, gas processing (where necessary), and gas transportation. In this context, the weighted average cost of gas was established, incorporating the weighted average gas commodity charge, the weighted average gas gathering charge, the weighted average gas processing charge, the weighted average gas transmission service charge, and the weighted average gas services charge. This determination was approved by the Commission, utilising the methodology outlined in Appendix 4 of this decision paper.

5.4.2 2026-2030 Electricity Generation Revenue Requirement

Electricity Generation Revenue Requirement was determined by considering the projected volume of electrical energy to be supplied within the Tariff Control Period as indicated in the Electricity Supply Plan and the Composite Bulk Generation Charge in line with the methodology outlined in PURC Rate Setting Guidelines for Procurement and Supply of Electrical Generation Capacity and Energy in the Regulated Electricity Market.

In line with the Rate Setting Guidelines for Procurement and Supply of Electrical Generation Capacity and Energy in the Regulated Electricity Market, the Composite Bulk Generation Charge was computed using the formula indicated in Appendix-4 (B).

5.4.3 Electricity Transmission Revenue Requirement (Added Value)

The Commission determined the revenue requirement for the Transmission Utility (GRIDCo) in accordance with the Rate Setting Guidelines for Electricity Transmission and System Operations. In that regard, tariff proposal submitted by GRIDCo to the Commission in respect of GRIDCo's investment in the Electricity Transmission Infrastructure as well as the required operation and maintenance and related expense of operating the Electricity Transmission Infrastructure vis-à-vis projected electricity transmission volume for the 2026-2030 Multi-Year Major Tariff Review were utilised to determine Electricity Transmission Annual Revenue Requirement by applying the formula captured in Appendix-4 (C). Having determined the revenue requirement in respect of electricity transmission, the Commission then computed the Electricity Transmission Service Charge (TSC-1) using the formula indicated in Appendix-4 (C.1).

The rate determined above reflects the cost of providing transmission grid services and is referred to as Transmission Service Charge-1 (TSC-1) payable by all end-use customers to the transmission utility. This excludes the cost or charge for transmission losses which is also referred to as Transmission Service Charge-2 (TSC-2) and payable to the relevant generator. The cost of transmission losses is therefore not to be retained by the Transmission Utility.

5.4.4 Electricity Distribution Utilities Revenue Requirement

The Annual Revenue Requirement (ARR) for Distribution Utilities were determined in line with the Commission's Rate Setting Guidelines for Electricity Distribution and Supply. In that regard, tariff proposals submitted by the three DisCos to the Commission in respect of investment in the Electricity Distribution Infrastructure as well as the required operation and maintenance and related expense of operating the Electricity Distribution Infrastructure vis-à-vis projected electricity sales volume for the 2026-2030 Tariff Control Period were utilised to determine Electricity Distribution Annual Revenue Requirement using the formula captured in Appendix-4 (D).

The rate determined above reflects the cost of providing distribution network services and is referred to as Distribution Service Charge-1 (DSC-1) payable by all end-use customers to the Distribution Utility. This excludes distribution losses which is also referred to as Distribution Service Charge-2 (DSC-2) and payable to the relevant generator hence not to be retained by the Distribution Utility unless the Distribution pays for the full cost or value of electricity procured from the generator.

5.4.4.1 Total Annual Revenue Requirement for Regulated Electricity Supply Industry Value Chain

PURC established the Total Revenue Requirement for the Electricity Supply Value Chain in line with the Rate Setting Guidelines for Electricity Distribution and Supply, taking into consideration the Projected Power Purchase Cost, comprising Generation and Transmission Costs, in addition to Distribution and Supply Cost as captured in Appendix-4 (E).

5.4.5 Allocation of Total Revenue Requirement for Electricity Supply Value Chain

The Total Revenue Requirement determined in line with the Rate Setting Guidelines for Electricity Distribution and Supply shall be allocated fully to Rate Payers or End-use Customers on the basis of customer class rates. The translation process involves allocation of costs to various customer categories on the basis of their cost of service, while taking into consideration socio-economic factors as they impact identified consumer groups.

5.4.6 Water Production, Transmission, Distribution and Supply Revenue Requirement

The Commission in determining efficient and prudent Water Tariffs for GWL based on its proposed volume, costs and revenue requirement over the Tariff Control Period, employed the three Annual Revenue Requirement methodologies for Water Production, Transmission, Distribution and Supply as per the Rate Setting Guidelines for Water Production, Transmission, Distribution, and Supply.

In that regard, tariff proposals submitted by GWL to the Commission in respect of investment in Water Production, Transmission, Distribution and Supply Infrastructure as well as the required operation and maintenance and related expense of operating the Water Production, Transmission, Distribution and Supply Infrastructure vis-à-vis projected water sales volume for the 2026-2030 Tariff Control Period were utilised to determine the Annual Revenue Requirement using the formula captured in Appendix-4(F).

The Commission having determined the revenue requirement in respect of Water Production, Transmission, Distribution and Supply Operations computed the Average Water End-User Tariff using the formula indicated in Appendix-4 (F).

6.0 TARIFF DECISION IN RESPECT OF NATURAL GAS REVENUE REQUIREMENT

This section presents the results of analyses of projected natural gas volumes and natural gas tariffs by gas supply sources. The section also highlights various components of the Weighted Average Cost of Gas as well as GNGLC Gas Gathering, Processing, and Transmission Revenue Requirement.

6.1 Gas Supply Volumes and Tariffs by Gas Source

The Commission's approved projected gas supply volumes and tariffs by gas source, as well as GNPC's service charges, are indicated in Table 6-1.

Table 6-1 Summary of PURC Approved Projected Gas Volumes, Tariffs by Gas Source

Gas Supply Volumes/Tariffs	Measure	Gas Volumes and Tariffs By Gas Supply Source and Activity	
		Proposed	Approved
Gas Volume:			
Jubilee	MMScf/D	113	113
Sankofa	MMScf/D	270	270
N-Gas	MMScf/D	100	100
Commodity Charge:			
Jubilee	USD/MMBtu	3.0788	2.5542
Sankofa	USD/MMBtu	10.0900	7.6684
N-Gas	USD/MMBtu	8.1900	8.1900
Reverse Flow Transmission - WAGP (Tdi-Tema):			
Contracted Comingled Reverse Flow Volume*	MMScf/D	100	90
Contracted Reverse Flow Transmission Charge	USD/MMBtu	2.4124	2.4124
GNPC Services Cost:			
GNPC Financing Service Cost	USD/MMBtu	0.5000	0.0500
Gas Management Cost			
First 200MMScfd	USD/MMBtu	0.0843	0.0843
Beyond 200MMScfd	USD/MMBtu	0.0432	0.0432

*The Commingled Reverse Gas Volume of 90 MMScf/D is a component of gas volume from the three gas fields: Jubilee, TEN and Sankofa

Source: PURC Tariff Analyses, 2026-2030

As indicated in Table 6-1, the Commission's decisions with regards to projected gas volumes and tariffs were based on the following:

1. In terms of projected gas volumes, the Commission maintained the proposed volumes from Jubilee, Sankofa and N-Gas. This decision was made to align demand with supply, as the projected gas supply sources considered were limited to 2026.
2. Regarding the Jubilee and Sankofa Commodity Charge, GNPC proposed prices of USD3.0788/MMBtu and USD10.0900/MMBtu, respectively.
3. However, the Commission considered the fact that since no directive was received from GoG/ Ministry of Finance about restoration of the 24% GoG/GNPC share in Sankofa's price and 17.4% for Jubilee. Consequently, the Commission excluded the royalties, leading to a reduction in the Sankofa price from USD10.0900/MMBtu to USD7.6684 /MMBtu and the Jubilee price from USD3.0788/MMBtu to USD2.5542/MMBtu.
4. For GNPC's Services Cost, the Commission maintained the existing GNPC Financing Service Cost of USD0.0500/MMBtu. This decision was due to the inconclusive engagement with GNPC on the proposed upward adjustment of the financing service cost. The Commission will consider GNPC's proposal in its subsequent tariff review when the engagement is concluded.

6.2 Natural Gas Gathering, Processing and Transmission Service Charges

For purposes of determining financially sustainable Charges for GNGLC's Gathering, Processing and Transmission segments of Gas Supply Value vis-a-vis projected gas volumes, revenue requirements and tariffs submissions made by GNGLC, the Commission subjected GNGLC's proposals to review and analyses which led to approval of Gas Gathering, Processing and Transmission Revenue Requirement and Tariffs for GNGLC as indicated in Table 6-2 and Table 6-3.

Table 6-2 Summary Results of PURC Proposed Vs Approved GNGLC Revenue Requirement

Cost Type	Measure	Existing	Proposed	Approved
Projected Gas Volumes				
Gathering	MMBtu	52,000	52,778	52,778
Processing	MMBtu	48,078	52,778	52,778
Transmission	MMBtu	110,056	145,388	145,388
Gathering Revenue Requirement:				
Capital Recovery Expenses	MUSD	2.72	8.42	11.12
Operating Expenses	MUSD	21.23	2.59	22.99
NGLs Revenue Offset	MUSD	(18.10)	(8.85)	(19.34)
Corporate Tax	MUSD		0.86	0.80
Total	MUSD	5.85	3.02	15.57
Processing Revenue Requirement:				
Capital Recovery Expenses	MUSD	7.00	3.64	3.49
Operating Expenses	MUSD	43.84	80.44	46.86
NGLs Revenue Offset	MUSD	(37.68)	(21.22)	(40.26)
Corporate Tax	MUSD		0.43	0.24
Total	MUSD	13.15	63.29	10.33
Transmission Revenue Requirement:				
Capital Recovery Expenses	MUSD	12.97	25.56	22.31
Operating Expenses	MUSD	66.16	185.56	72.82
Cost of Working Capital Allowance	MUSD		6.80	0.41
Corporate Tax	MUSD		2.22	1.71
Total	MUSD	79.13	220.14	97.25
Total Revenue Requirement	MUSD	98.14	286.45	123.15

Source: PURC Tariff Analyses, 2026-2030

The PURC determined total annual average revenue requirement for GNGLC without NGLs offsetting amounted to USD182.75 million. A Projected Annual NGL's revenue of USD 59.60 million was offset against the total annual revenue requirement. Specifically, the Commission approved total revenue requirements for GNGLC's gas gathering, processing, and transmission operations, amounting to an average of USD 15.57 million for gathering, USD 10.33 million for processing, and USD 97.25 million for transmission totalling USD 123.15Million, as indicated in Table 6-2.

The variation in GNGLC proposed and PURC approved Revenue Requirement is due to the following:

1. Differences in the computation of the Weighted Average Cost of Capital (WACC) and capital recovery factor.
2. Application of the full proposed NGLs revenue by PURC as GNGLC did not include the full NGLs revenue by GNGLC.
3. Operating expenses were calculated using an operating expense efficiency benchmark as a percentage of the regulated asset base (RAB).

Table 6-3 Summary Results of PURC Approved Vs Proposed GNGLC Tariffs by Value Chain

Item Description	Measure	Gas Tariffs By Gas Value Chain Proposed	Approved
GNGLC Tariffs By Activity:			
Gathering Charge	USD/MMBtu	0.0562	0.2950
Processing Charge	USD/MMBtu	0.8358	0.1957
Transmission Service Charge	USD/MMBtu	1.2899	0.6689
Total	USD/MMBtu	2.1819	1.1596

Source: PURC Tariff Analyses, 2026-2030

GNGLC Proposed, and PURC Approved Natural Gas Gathering, Processing and Transmission Service Charges for GNGLC, as presented in Table 6-3, are the resultant effect of the approved revenue requirement presented in Table 6-2. The variations are due to the reasons noted above.

6.3 Weighted Average Cost of Gas

The Commission determined the Weighted Average Cost of Gas, which was used to determine the Fuel Recovery Charge component of the Total Applicable Generation Tariff for each of the power plants supplying electricity to the regulated electricity market. Details of the Weighted Average Gas Commodity Charge (WAGCC), Weighted Average Gas Gathering Charge (WAGGC), Weighted Average Gas Processing Charge (WAGPC), Weighted Average Gas Transmission Service Charge (WAGTSC), including Statutory Levies and Weighted Average Gas Service Charge (WAGSC) are presented in Table 6-4.

Table 6-4 Summary of PURC Existing Vs Approved Weighted Average Gas Charges

Item Description	Measure	Existing	Approved
Weighted Average Commodity Charge	USD/MMBtu	6.6011	6.4324
Weighted Average Gathering Charge	USD/MMBtu	0.0255	0.0773
Weighted Average Processing Charge	USD/MMBtu	0.0620	0.0513
Weighted Average Transmission Service Charge	USD/MMBtu	0.5686	0.9689
Weighted Average Regulatory Levy Charge	USD/MMBtu	0.3592	0.2482
Weighted Average Service Charge	USD/MMBtu	0.0969	0.0968
Total - Weighted Average Charge of Gas (WACOG)	USD/MMBtu	7.7134	7.8749

Source: PURC's Tariff Analyses, 2026-2030

The projected WACOG of USD7.8749/MMBtu was used in calculating the Fuel Recovery Charge for each power plant incorporated into the Composite Bulk Generation Tariff.

7.0 TARIFF DECISION IN RESPECT OF BULK ELECTRICITY GENERATION COSTS

This section presents the outcome of analyses of the costs and tariffs as well as tariff decision in respect of electricity generation.

The Generation Revenue Requirement for 2026-2030 Tariff Control Period was determined considering the projected electricity supply plan and also tariffs for each of the power plants as approved by the Commission. To match the electrical energy demand by ECG, NEDCo, and EPC with available electrical energy supply by VRA and contracted IPPs, various demand and supply projections captured in the proposals submitted by the DISCOs and VRA were used. These projections, including hydro allocation by Electricity Market Oversight Panel (EMOP) to the Regulated Electricity Market, were reviewed and realigned to establish a perfect balance for purposes of determining as accurately as possible the Composite Bulk Generation Charge for ECG, NEDCo, and EPC. The Commission also considered capacity and energy projections captured in their various Power Purchase Agreements as presented in Table 7-1.

Table 7-1 Summary of 2026-2030 Projected Electrical Energy Generation by Power Plant

Power Plants	Projected Electrical Energy By Power Plant (GWh)				
	2026	2027	2028	2029	2030
VRA Generation:					
Akosombo	4,261	4,261	4,261	4,261	4,261
Kpong	723	723	723	723	723
TAPCo	1,977	2,214	2,441	2,470	2,842
KTPP	150	158	165	173	181
ATPS	1,816	1,816	1,816	1,816	1,816
Navrongo Solar Plant	3	3	3	3	3
Lawra/Kaleo Solar Plant	9	9	9	9	9
Total VRA Generation	8,940	9,185	9,419	9,456	9,836
IPP Generation:					
Operation Plants - Thermal Contracts					
Sunon Asogli 1	-	-	-	357	1,077
Sunon Asogli 2	2,821	2,821	2,821	2,821	2,821
Karpowership	962	1,927	2,934	3,627	3,627
AKSA	1,813	1,813	1,813	1,813	1,813
CENIT	-	-	-	-	-
CENPOWER	2,619	2,619	2,619	2,619	2,619
Early Power	1,612	1,612	1,612	1,612	1,612
AMANDI (TWIN CITY)	1,612	1,612	1,612	1,612	1,612
Total	11,439	12,404	13,411	14,460	15,181
Operation Plants - Renewable Contracts					
Bui Power	1,030	1,030	1,030	1,030	1,030
BPA Solar Farm	-	-	-	-	-
BXC Solar	37	37	37	37	37
Meienergy Solar	37	37	37	37	37
Safisana Biogas	1	1	1	1	1
Total	1,104	1,104	1,104	1,104	1,104
Total IPPs	12,543	13,508	14,515	15,564	16,284
Total VRA + IPPs	21,483	22,692	23,933	25,020	26,120

Source: PURC Tariff Analysis, 2026-2030

Based on above, the Commission determined a Composite Bulk Generation Charge (CBGC) hence total generation revenue requirement, details of which are presented in Table 7-2.

Table 7-2 Summary of 2026-2030 Average Electrical Energy Generation by Power Plant and Tariffs

Power Plant	Projected Electrical Energy (GWh)	Tariff (GHP/kWh)
VRA Plants		
VRA-Hydro:		
Akosombo	4,261	30.7516
Kpong	723	57.3426
Sub-Total VRA Hydro	4,984	
VRA-Thermal:		
TAPCo	2,389	109.0317
KTPP	166	173.6215
ATPS	1,816	129.0860
Sub-Total VRA Thermal	4,371	
VRA-Renewable:		
Solar (Navrongo)	3	149.9847
Solar (Kaleo/Lawra)	9	108.0599
Sub-Total VRA Renewable	12	
Total VRA Electrical Energy	9,367	
ECG IPPs:		
Sunon Asogli Phase I	287	149.7521
Sunon Asogli Phase II	2,821	144.2724
Karpowership	2,615	164.8456
AKSA	1,813	131.2905
Cenit	0	139.5540
Cenpower	2,619	159.0674
Early Power	1,612	156.1562
Amandi (Twin City)	1,612	150.9363
Bui Power Authority	1,030	122.9481
BPA Solar Farm	0	122.9481
BXC Solar	37	241.7804
Meienergy Solar	37	217.5966
Safisana Plant	0.7	210.1164
Sub-Total IPPs	14,483	
Total Electrical Energy/ VRA+ECG IPPs Composite Bulk Generation Charge	23,850	120.4159

aqSource: PURC's Tariff Analyses, 2026-2030

A breakdown of PURC Approved Tariffs by Power Plant into Capacity Charge and Energy Charge for the 2026-2030 Tariff Control Period is presented in Table 7-3.

Table 7-3 Summary of 2026-2030 Approved Average Capacity and Energy Tariffs by Power Plant

Power Plant	PURC Approved Tariffs By Power Plant Effective January 01, 2026		
	Capacity Charge (GHP/kWh)	Energy Charge (GHP/kWh)	Total Applicable Tariff (GHP/kWh)
VRA Plants			
VRA-Hydro:			
Akosombo	29.2551	1.4964	30.7516
Kpong	55.7742	1.5683	57.3426
VRA-Thermal:			
TAPCo	29.2674	79.7642	109.0317
ATPS	31.3854	97.7007	129.0860
KTPP	70.8753	102.7462	173.6215
Sub-Total VRA Thermal			
VRA-Renewable:			
Solar (Navrongo)	149.9847		149.9847
Solar (Lawra/Kaleo)	108.0599		108.0599
IPPs:			
Sunon Asogli Phase I	62.7648	86.9874	149.7521
Sunon Asogli Phase II	53.2927	90.9797	144.2724
Karpowership	71.5801	93.2656	164.8456
AKSA	45.8306	85.4599	131.2905
Cenpower	78.4527	80.6148	159.0674
Early Power	69.8115	86.3447	156.1562
Amandi (Twin City)	74.6454	76.2909	150.9363
Bui Power	122.3478	0.6003	122.9481
BPA Solar Farm	122.9481		122.9481
BXC Solar	241.7804		241.7804
Meienergy Solar	217.5966		217.5966
Safisana Plant	210.1164		210.1164
Total Electrical Energy/ VRA+IPPs			23,850
Composite Bulk Generation Charge			120.4159
Composite Bulk Generation Fixed Charge			55.5547
Composite Bulk Generation Energy Charge			64.8612

Source: PURC's Tariff Analyses, 2026-2030

In terms of revenue, PURC Approved Generation Revenue broken down into Capacity and Energy Revenue per power plant for the 2026-2030 Tariff Control Period are presented in Table 7-4.

Table 7-4 Summary of 2026-2030 Approved Annual Average Generation Revenue by Power Plant

Power Plant	Capacity Revenue (MGHS)					Energy Revenue (MGHS)				
	2026	2027	2028	2029	2030	2026	2027	2028	2029	2030
VRA Plants										
VRA-Hydro:										
Akosombo	1,246.56	1,246.56	1,246.56	1,246.56	1,246.56	63.76	63.76	63.76	63.76	63.76
Kpong	403.25	403.25	403.25	403.25	403.25	11.34	11.34	11.34	11.34	11.34
Sub-Total VRA Hydro	1,649.81	1,649.81	1,649.81	1,649.81	1,649.81	75.10	75.10	75.10	75.10	75.10
VRA-Thermal:										
TAPCo	578.68	648.05	714.48	722.97	831.89	1,577.12	1,766.16	1,947.23	1,970.36	2,267.19
ATPS	569.96	569.96	569.96	569.96	569.96	1,774.24	1,774.24	1,774.24	1,774.24	1,774.24
KTPP	106.66	112.33	117.29	122.96	128.63	154.62	162.84	170.03	178.25	186.47
Sub-Total VRA Thermal	1,255.30	1,330.33	1,401.73	1,415.89	1,530.47	3,505.98	3,703.24	3,891.50	3,922.85	4,227.90
VRA-Renewable:										
Solar (Navrongo)	4.50	4.50	4.50	4.50	4.50					
Solar (Lawra/Kaleo)	9.73	9.73	9.73	9.73	9.73					
Sub-Total VRA Renewable	14.22	14.22	14.22	14.22	14.22					
Total VRA	2,919.33	2,994.37	3,065.76	3,079.92	3,194.50	3,581.09	3,778.35	3,966.60	3,997.95	4,303.00
IPPs:										
Sunon Asogli Phase I				223.96	675.98				310.40	936.85
Sunon Asogli Phase II	1,503.24	1,503.24	1,503.24	1,503.24	1,503.24	2,566.28	2,566.28	2,566.28	2,566.28	2,566.28
Karpowership	688.80	1,379.33	2,100.12	2,595.95	2,595.95	897.48	1,797.20	2,736.37	3,382.41	3,382.41
AKSA	831.06	831.06	831.06	831.06	831.06	1,549.66	1,549.66	1,549.66	1,549.66	1,549.66
Cenpower	2,054.86	2,054.86	2,054.86	2,054.86	2,054.86	2,111.49	2,111.49	2,111.49	2,111.49	2,111.49
Early Power	1,125.25	1,125.25	1,125.25	1,125.25	1,125.25	1,391.74	1,391.74	1,391.74	1,391.74	1,391.74
Amandi (Twin City)	1,203.16	1,203.16	1,203.16	1,203.16	1,203.16	1,229.69	1,229.69	1,229.69	1,229.69	1,229.69
Bui Power	1,260.18	1,260.18	1,260.18	1,260.18	1,260.18	6.18	6.18	6.18	6.18	6.18
BXC Solar	88.25	88.25	88.25	88.25	88.25					
Meienergy Solar	79.42	79.42	79.42	79.42	79.42					
Safisana Plant	1.44	1.44	1.44	1.44	1.44					
Total IPPs	8,835.67	9,526.20	10,246.99	10,966.78	11,418.79	9,752.52	10,652.25	11,591.41	12,547.85	13,174.31
Total VRA+IPPs	11,755.00	12,520.56	13,312.75	14,046.70	14,613.30	13,333.61	14,430.60	15,558.02	16,545.80	17,477.31

* The above revenue values have been arrived at using Projected Ghana Cedi/US Dollar Exchange Rate of 12.0067

Source: PURC's Tariff Analyses, 2026-2030

8.0 TARIFF DECISION IN RESPECT OF ANNUAL REVENUE REQUIREMENTS FOR TRANSMISSION GRID SERVICES

This section presents the outcome of analyses of costs and tariffs as well as tariff decisions in respect of transmission grid services.

8.1 Determination of the Transmission Utility's Annual Revenue Requirement

In determining the TSC, the Commission was guided by the fact that transmission of power is a monopoly business and therefore requires the requisite regulatory supervision to ensure that its costs are prudent and efficient.

The Commission's tariff decision regarding GRIDCo's Annual Revenue Requirement (ARR) for 2026-2030 Tariff Control Period was determined based on the methodology indicated in Rate Setting Guidelines for Electricity Transmission and System Operations. The various components of the PURC approved costs in respect of GRIDCo's transmission grid services (TSC-1) are discussed below.

8.1.1 GRIDCo's Revenue Requirement (Costs Attributable to Transmission Network Operations)

GRIDCo proposed a total revenue requirement of GHS 2,269.35 Million to cover its operations for the 2026-2030 Tariff Control Period. The Commission, however, approved an amount of GHS 1,828.81 Million to cover the operating expenses of GRIDCo. The total operational expenses of the operations of GRIDCo consist of four major components.

1. Direct operational expenses comprising human resource expenses, operation and maintenance expenses, general and administrative expenses
2. Cost of Working Capital Allowance
3. Capital Expenditure
4. Depreciation and Return on the Regulatory Asset Base (RAB).

Table 8-1 presents the breakdown of GRIDCo's total operational expenses as approved by the Commission, while Table 8-2 compares the approved annual average revenue with the existing and proposed annual average revenue for GRIDCo.

Table 8-1 Summary of PURC Approved Transmission Revenue Requirement for 2026-2030

Cost Type	Measure	2026	2027	2028	2029	2030	Average (2026-2030)
GRIDCo's Approved Operating Cost:							
Administrative & General Expenses	MGHS	132.47	143.06	154.51	166.87	180.22	155.42
Operation & Maintenance Expenses	MGHS	220.08	237.69	256.71	277.24	299.42	258.23
Human Resource Expenses	MGHS	305.86	320.30	366.16	390.87	450.77	366.79
Sub-Total	MGHS	658.41	701.05	777.37	834.98	930.41	780.45
Cost of Working Capital Allowance	MGHS	1.31	1.40	1.55	1.66	1.66	1.52
Capital Expenditure IRO GRIDCo Critical Investments	MGHS	306.73	306.73	306.73	306.73	306.73	306.73
Capital Recovery IRO Existing and New Transmission Assets:							
Depreciation	MGHS	283.41	283.41	283.41	283.41	283.41	283.41
Return on Regulated Asset Base	MGHS	397.13	397.13	397.13	397.13	397.13	397.13
Sub-Total	MGHS	680.54	680.54	680.54	680.54	680.54	680.54
Corporate Tax	MGHS	59.58	59.58	59.58	59.58	59.58	59.58
Total Electricity Transmission Revenue Requirement	MGHS	1,706.57	1,749.29	1,825.77	1,883.49	1,978.92	1,828.81

Source: PURC's Tariff Analyses, 2026-2030

Table 8-2 Summary of PURC Approved Costs vs. Proposed Costs of GRIDCo

Cost Type	Existing Costs (MGHS)	Proposed Costs (MGHS)	Approved Costs (MGHS)
Approved Operating Cost:			
Administrative & General Expenses	89.46	101.01	155.42
Operation & Maintenance Expenses	535.26	193.73	258.23
Human Resource Expenses	305.85	366.79	366.79
Sub-Total	930.57	661.53	780.45
Cost of Working Capital Allowance	1.73		1.52
Capital Expenditure IRO GRIDCo Critical Investments	158.55	435.19	306.73
Capital Recovery IRO Existing Transmission Assets:			
Depreciation	158.47	239.23	283.41
Return on Regulated Asset Base	326.82	893.39	397.13
Sub-Total	485.28	1,132.62	680.54
Corporate Tax	9.31	45.05	59.58
Total Electricity Network Business Revenue Requirement	1,585.44	2,274.40	1,828.81

Source: PURC's Tariff Analyses, 2026-2030

In approving the various operating costs of GRIDCo, including administrative and general expenses, operation and maintenance expenses, and human resource expenses, the Commission undertook a prudence and efficiency test, taking into consideration PURC's Rate Setting Guidelines. Details of the approved costs are explained in the following sections.

8.1.2 Administrative and General Expenses

GRIDCo proposed an annual average amount of GHS 101.01 Million to cover various administrative and general expenses for the 2026-2030 Tariff Control Period, representing a 12.92% increase over the existing approved costs for 2025. However, the Commission approved an average of GHS 155.42 Million representing a 53.87% increase over the existing approved costs for 2025. The variance between the proposed and approved cost was as a result of approved capital expenditure, data validation and use of an operating expense efficiency benchmark in line with the Rate Setting Guidelines.

8.1.3 Operation and Maintenance Expenses

With regards to operation and maintenance expenses, GRIDCo proposed an annual average amount of GHS 193.73 Million to cover various operation and maintenance expenses for 2026-2030 Tariff Control Period representing a 63.81% decrease over the existing approved costs for 2025. However, the Commission approved an average of GHS 258.23 Million representing a 51.76% decrease over the existing approved costs for 2025. The variance between the proposed and approved cost was due to approved capital expenditure, data validation and application of operating expense efficiency benchmark in line with the Rate Setting Guidelines.

8.1.4 Human Resource Expenses

GRIDCo's human resource expenses covers salaries of staff, staff allowances and other statutory payments in respect of the company's staff. The Commission approved the total human resource expenses of GHS 366.79 Million as proposed by GRIDCo to cover human resource expenses for the Company for the 2026-2030 Tariff Control Period in accordance with PURC's Rate Setting Guidelines.

8.1.5 Cost of Working Capital Allowance

In terms of cost of working capital allowance, the Commission approved an average of GHS 1.52 Million for the Company for the 2026-2030 Tariff Control Period. This approval was conducted in line with the Commission's Rate Setting Guidelines for Electricity Transmission and System Operations.

8.1.6 Capital Expenditure

With respect to capital expenditure, the Commission approved an average of GHS 306.73 Million to cover GRIDCo's short-term critical investments over 2026-2030 Tariff Control Period by taking into consideration the cost of both the loan facility and interest of the total short-term critical investments which was levelised in line with GRIDCo's depreciation policy. The Commission arrived at this amount following the investment hearing in line with the PURC's Rate Setting Guidelines for Investment Approval and Verification.

8.1.7 Depreciation

The Commission approved an annual average depreciation amount of GHS283.41 Million as against GRIDCo's proposal of GHS239.23 Million for the 2026-2030 Tariff Control Period. The approved amount represents 18.47% increment on the amount proposed by GRIDCo. The Commission's approval was based on the use of net revalued regulated asset base which excluded assets acquired through grants. The variance is due to revision of the regulated asset base value following data validation after submission of the Company's tariff proposal.

8.1.8 Return on Revalued Net Fixed Assets

GRIDCo proposed an amount of GHS 893.39 Million as Return on Regulated Fixed Assets for the 2026-2030 Tariff Control Period. The Commission determined GRIDCo's return on revalued net fixed assets in line with the Rate Setting Guidelines by utilising a weighted cost of debt based on GRIDCo's existing loans and a cost of equity calculated in accordance with the Commission's methodology for determination of Cost of Equity. This resulted in an average amount of GHS397.13 Million as approved return on revalued net fixed assets representing 55.55% of GRIDCo's proposal. The variance due to differences in WACC and the regulated asset base.

8.1.9 Corporate Tax

With respect to Corporate Tax to be incorporated into GRIDCo's operational costs, the Commission approved an annual average amount of GHS 59.58 Million as Corporate Tax payable by GRIDCo over the 2026-2030 Tariff Control Period. The corporate tax for the 2026-2030 Tariff Control Period was determined by the Commission using PURC's corporate tax formula per PURC's Rate Setting Guidelines for Electricity Transmission and System Operations.

9.0 TARIFF DECISION IN RESPECT OF ELECTRICITY DISTRIBUTION AND SUPPLY SERVICES

In this section, analyses of costs and tariff decision in respect of Electricity Distribution services for ECG, NEDCo and EPC are presented. In that regard, the analyses were carried out within the framework of PURC's Rate Setting Guidelines for Electricity Distribution and Supply.

9.1 Electricity Company of Ghana

9.1.1 ECG's Annual Revenue Requirement for Distribution and Supply

The ECG's Annual Revenue Requirement (ARR) determination for the 2026-2030 Tariff Control Period was within the framework of the Commission's Rate Setting Guidelines for Electricity Distribution and Supply taking into consideration projected electrical energy purchases and sales volumes, costs and revenue proposals as submitted by ECG.

ECG proposed a total annual average revenue requirement of GHS 8,957.02 Million to cover its operations for the 2026-2030 Tariff Control Period. The Commission, however approved an annual average amount of GHS 4,817.45 Million to cover the operating expenses of ECG.

Table 9-1 shows the breakdown of ECG's total operational expenses approved by the Commission and Table 9-2 indicates approved annual average revenue in comparison with existing and proposed annual average revenue by ECG.

Table 9-1 Summary of PURC Approved Distribution Revenue Requirement for 2026-2030

Cost Type	Measure	2026	2027	2028	2029	2030	Average
ECG's Approved Operating Cost:							
Administrative & General Expenses	MGHS	455.55	492.00	531.36	573.87	619.78	534.51
Operation & Maintenance Expenses	MGHS	949.75	1,025.73	1,107.79	1,196.41	1,292.13	1,114.36
Human Resource Expenses	MGHS	1,464.23	1,562.33	1,667.32	1,762.19	1,880.26	1,667.27
Sub-Total	MGHS	2,869.53	3,080.06	3,306.47	3,532.48	3,792.17	3,316.14
Cost on Working Capital Allowance	MGHS	1.70	1.83	1.96	2.09	2.25	1.96
Capital Expenditure IRO Approved ECG's Critical Investments							
Depreciation	MGHS	351.62	351.62	351.62	351.62	351.62	351.62
Return on Investments	MGHS	183.34	183.34	183.34	183.34	183.34	183.34
Sub-Total	MGHS	534.96	534.96	534.96	534.96	534.96	534.96
Capital Recovery IRO Existing Newly Completed and Legacy Distribution Assets:							
Depreciation	MGHS	640.23	640.23	640.23	640.23	640.23	640.23
Return on Regulated Asset Base	MGHS	236.88	236.88	236.88	236.88	236.88	236.88
Sub-Total	MGHS	877.11	877.11	877.11	877.11	877.11	877.11
Corporate Tax	MGHS	87.27	87.27	87.27	87.27	87.27	87.27
Total Electricity Distribution Revenue Requirement	MGHS	4,370.58	4,581.23	4,807.77	5,033.91	5,293.75	4,817.45

Source: PURC's Tariff Analyses, 2026-2030

Table 9-2 Summary of PURC Approved Costs vs. Proposed Costs of ECG

Cost Type	Existing (MGHS)	Proposed Costs (MGHS)	Approved Costs (MGHS)
Approved Operating Cost:			
Administrative & General Expenses	616.85	956.78	534.51
Operation & Maintenance Expenses	356.95	1,994.72	1,114.36
Human Resource Expenses	857.09	1,667.27	1,667.27
Sub-Total	1,830.89	4,618.77	3,316.14
Interest on Working Capital	1.08	36.12	1.96
Capital Expenditure IRO Approved ECG's Critical Investments			
Depreciation	319.91	659.83	351.62
Return on Investments			183.34
Sub-Total	319.91	659.83	534.96
Capital Recovery IRO Existing Newly Completed and Legacy Distribution Assets:			
Depreciation	158.20	1,518.81	640.23
Return on Regulated Asset Base	75.32	2,123.48	236.88
Sub-Total	233.52	3,642.30	877.11
Corporate Tax	9.03		87.27
Total Electricity Network Business Revenue Requirement	2,394.43	8,957.02	4,817.45

Source: PURC's Tariff Analyses, 2026-2030

In approving the various operating costs of ECG, including administrative and general expenses, operation and maintenance expenses, human resource expenses, the Commission undertook a prudence and efficiency test taking into consideration PURC's Rate Setting Guidelines. ECG's ARR results in an average distribution added value (DAV) charge of GHP30.9042/kWh. Details of the approved costs are explained in the following sections.

9.1.1.1 Administrative and General Expenses

ECG proposed an annual average amount of GHS 956.78 million to cover various administrative and general expenses in ECG's operational regions and the headquarters for the 2026-2030 Tariff Control Period. However, the Commission approved a total amount of GHS 534.51 Million to cover ECG's administrative and general expenses for the 2026-2030 Tariff Control Period representing a 13.35% decrease over the existing approved costs for 2025. The variance between the proposed and approved cost was due to the use of an operating expense efficiency benchmark, data validation and approved capital expenditure in line with the Rate Setting Guidelines.

9.1.1.2 Operation and Maintenance Expenses

In terms of meeting ECG's operation and maintenance expenses, though the company proposed a total annual average amount of GHS1,994.72 Million, the Commission approved a total annual average amount of GHS 1,114.36 Million representing a 212.19% increase over the existing approved costs for 2025, which the Commission considers as prudent and efficient for the 2026-2030 Tariff Control Period in line with approved capital expenditure, data validation and application of operating expense efficiency benchmark as per PURC's Rate Setting Guidelines.

9.1.1.3 Human Resource Expenses

With regards to human resource expenses, the Commission approved an amount of GHS 1,667.27 Million in line with PURC's Rate Setting Guidelines as proposed by ECG to cover human resource expenses for the Company for the 2026-2030 Tariff Control Period.

9.1.1.4 Cost of Working Capital Allowance

The Commission approved an average of GHS1.96 Million as cost of working capital allowance for the Company for the 2026-2030 Tariff Control Period in line with the Rate Setting Guidelines for Electricity Distribution and Supply. The approved cost of working capital allowance was based on PURC benchmark payable and receivable days and the WACC.

9.1.1.5 Capital Expenditure

With respect to capital expenditure, the Commission approved an annual average of GHS534.96Million to cover ECG's short-term critical investments over 2026-2030 Tariff Control Period. The Commission arrived at this amount by taking into consideration the cost of both the loan facility and interest as well as levelising the total short-term critical investments amount in line with ECG's depreciation policy. The Commission arrived at this amount following the investment hearing in line with the PURC's Rate Setting Guidelines for Investment Approval and Verification.

9.1.1.6 Depreciation

The Commission approved an annual average depreciation of GHS640.23Million as against ECG's proposal of GHS1,518.81Million for the 2026-2030 Tariff Control Period. The Commission's approved amount represents 42.15% of the amount proposed by ECG and was based on the use of net revalued regulated asset base. The variance is as a result of revision of the regulated asset base value which excluded assets acquired through grants and data validation after submission of the Company's tariff proposal.

9.1.1.7 Return on Revalued Net Fixed Assets

ECG proposed an amount of GHS 2,123.48Million as Return on Regulated Fixed Assets for the 2026-2030 Tariff Control Period. The Commission determined ECG's return on revalued net fixed assets based on WACC and the regulated asset base guided by PURC's Rate Setting Guidelines for Electricity Distribution and Supply. Similar to the Commission's decision on depreciation, the Commission approved an annual average amount of GHS 236.88Million as return on revalued net fixed assets for the 2026-2030 Tariff Control. The variance due to differences in WACC and the regulated asset base.

9.1.1.8 Corporate Tax

With regards to corporate tax, the Commission approved an annual average of GHS 87.27Million as Corporate Tax payable by ECG over the 2026-2030 Tariff Control Period based on the approved net revalued regulated asset base and also in accordance with PURC's Rate Setting Guidelines for Electricity Distribution and Supply.

9.1.2 Cost of ECG's Distribution System Losses

The Commission has accounted for cost of power losses in the distribution network by applying the regulated benchmark average distribution system losses of 21.5% for the 2026-2030 Tariff Control Period. PURC's approved total distribution losses for ECG, based on the 21.5% amounts to 4,271 GWh. These distribution losses are estimated at GHS 5,633.81 Million, representing an average cost of GHp 36.1286/kWh. The average cost of total distribution system losses is prefixed as DSC-2.

It must be noted the DSC-2 is the rate that covers payment by DISCOs to electricity generators to compensate for the cost of PURC benchmarked electricity lost in distribution.

9.1.3 Non-collectible Revenue (NCR)

The Commission maintained its previous decision to approve a 2% allowance as a provision for non-collectible revenue by ECG.

9.1.4 Total ECG's Annual Revenue Requirement (TARR)

The Commission determined ECG's TARR, taking into consideration the following cost items:

- (i) Cost of power purchases from electricity generators, including all losses in the process of high voltage transmission as well as the electricity that is not billed owing to technical and commercial losses within the utility company's distribution network (VRA and IPPs)

- (ii) Cost of Reserve Capacity
- (iii) Direct cost of transmission grid services (*GRIDCo's Costs*)
- (iv) Costs of the ECG's own operations (*ECG's ARR*)
- (v) Provision for non-collectible revenue

9.1.4.1 ECG's Cost of Power Purchases for 2026-2030

ECG is to procure power from VRA and a number of Independent Power Producers (IPPs) for the 2026-2030 Tariff Control Period. The Commission approved a total projected annual electrical energy requirement of 20,714 GWh for the Company for the 2026-2030 Tariff Control Period. A total of 6,231 GWh is to be procured from VRA, comprising 3,838GWh from Akosombo and Kpong Hydro Generating Stations as well as 2,394GWh from VRA's Thermal Power Plants. Therefore, the balance of 14,483GWh was projected to be procured from the company's bilateral contracted IPPs as noted in Table 9-2.

Having approved the total electrical energy allocated to ECG by VRA and IPP power plants vis-à-vis tariffs by power plant presented in Table 9-2, the Commission determined and approved a Composite Bulk Generation Charge (CBGC) of GHp69.0411/kWh payable by ECG for power purchases from VRA and Composite Bulk Generation charge (CBGC) of GHp125.7350//kWh payable for power purchases by ECG in respect of power purchases from VRA and IPP power plants. This translates into a total annual average amount of GHS 25,044.66 Million to cover the total cost of electrical energy to be purchased by ECG for 2026-2030 Tariff Control Period.

Table 9-2 Summary of PURC Approved Power Purchase Costs for ECG

Power Plant	Projected Electrical Energy (GWh)	Tariff (GHp/kWh)
VRA Plants		
VRA-Hydro:		
Akosombo	4,261	30.7516
Kpong	723	57.3426
Sub-Total VRA Hydro	4,984	
VRA-Thermal:		
TAPCo	2,389	109.0317
KTPP	166	173.6215
ATPS	1,816	129.0860
Sub-Total VRA Thermal	4,371	
VRA-Renewable:		
Solar (Navrongo)	3	149.9847
Solar (Kaleo/Lawra)	9	108.0599
Sub-Total VRA Renewable	12	
Total VRA Electrical Energy/ VRA Composite Bulk Generation Tariff	9,367	74.4763
ECG IPPs:		
Sunon Asogli Phase I	287	149.7521
Sunon Asogli Phase II	2,821	144.2724
Karpowership	2,615	164.8456
AKSA	1,813	131.2905
Cenit	0	139.5540
Cenpower	2,619	159.0674
Early Power	1,612	156.1562
Amandi (Twin City)	1,612	150.9363
Bui Power Authority	1,030	122.9481
BPA Solar Farm	0	122.9481
BXC Solar	37	241.7804
Meienergy Solar	37	217.5966
Safisana Plant	0.7	210.1164
Sub-Total IPPs	14,483	
Total Electrical Energy/ VRA+ECG IPPs Composite Bulk Generation Charge	23,850	125.7350

Source: PURC's Tariff Analyses, 2026-2030

9.1.4.2 Reserve Margin

To ensure system reliability, the Commission considered a reserve margin of 2,728 GWh at a cost of GH\$1,544.19 Million to meet unexpected electrical energy demand of consumers. The Commission thus incorporated this cost as part of the determination of the rates payable by consumers.

9.1.4.3 ECG's Transmission Grid Services Cost

ECG is required to pay for transmission grid services provided by GRIDCo as an additional cost for power purchases. For the 2026-2030 Tariff Control Period, total electrical energy to be transmitted on behalf of ECG is projected at 20,714 GWh, which includes transmission losses of 849.27 GWh. Since ECG's total purchases of 20,714 GWh includes transmission losses, ECG is required to pay the Transmission Service Charge (TSC-1) only to GRIDCo.

The breakdown of total electricity purchases, transmission and distribution losses as well as sales for ECG are presented in Table 9-3.

Table 9-3 Summary of PURC Approved Transmission and Distribution System Losses for ECG

Power Purchases	GWh
Total Purchases	20,714
Transmission System Losses	849
Distribution System Losses	4,271
Final End-User Consumption	15,594

Source: PURC's Tariff Analyses, 2026-2030

9.1.4.4 Total Annual Revenue Requirement

Having considered and approved the various cost items as noted above, the Commission has established a Total Annual Revenue Requirement (TARR) for ECG amounting to GH\$ 14,981.19 Million as presented in Table 9-4.

Table 9-4 Summary of ECG's Total Annual Revenue Requirement

Item/Cost Center	PURC Approved (Million GH\$)
Power Purchases (Incl. Trans. & Distr. System Losses)	27,588.85
Transmission Service Cost (Excl. Transmission Losses)	1,975.60
Total Power Purchases & Transmission Grid Service Costs	29,564.45
Administrative & General Expenses	536.19
Operation & Maintenance Expenses	1,114.36
Human Resource Expenses	1,667.27
Cost on Working Capital Allowance	1.96
Capital Expenditure IRO Approved ECG's Critical Investments	534.96
Capital Recovery IRO Existing Newly Completed and Legacy Distribution Assets:	
Depreciation	640.23
Return on Regulated Asset Base	236.88
Sub-Total	877.11
Corporate Tax	87.27
ECG Annual Revenue Requirement (ARR)	4,819.13
Total Annual Revenue Requirement (TARR)	34,383.58

Source: PURC's Tariff Analysis, 2026-2030

The Commission directs ECG to bill and collect from its customers, the tariffs approved by the Commission as indicated above in order to meet all its obligations including power purchases, transmission services and distribution operating expenses.

9.2 Northern Electricity Distribution Company (NEDCo)

9.2.1 Determination of NEDCo's Revenue Requirement

Determination of NEDCo's Annual Revenue Requirement (ARR) for the 2026-2030 Tariff Control Period was executed in line with the Commission's Rate Setting Guidelines for Electricity Distribution and Supply taking into account projected electrical energy purchases and sales volumes, costs and revenue proposals as submitted by NEDCo.

NEDCo's proposal covered the Company's operational costs detailed as administrative and general expenses, operation and maintenance expenses, human resource expenses, capital expenditure in respect to NEDCo's short term critical investment, depreciation and return on regulated asset base. This amounted to an annual average of GHS 2,549.07 Million for the 2026-2030 Tariff Control Period.

Table 9-5 shows the breakdown of NEDCo's total operational expenses approved by the Commission and Table 9-6 indicates approved annual average revenue in comparison with existing and proposed annual average revenue by NEDCo.

Table 9-5 Summary of PURC Approved Distribution Revenue Requirement for 2026-2030

Cost Type	Measure	2026	2027	2028	2029	2030	Average (2026-2030)
NEDCo's Approved Operating Cost:							
Administrative & General Expenses	MGHS	192.10	207.47	224.07	242.00	261.36	225.40
Operation & Maintenance Expenses	MGHS	125.22	135.23	146.05	157.74	170.36	146.92
Human Resource Expenses	MGHS	491.30	540.43	594.47	653.92	719.31	599.88
Sub-Total	MGHS	808.62	883.13	964.59	1,053.65	1,151.02	972.20
Cost on Working Capital Allowance	MGHS	0.48	0.52	0.57	0.62	0.68	0.58
Capital Expenditure IRO Approved Critical Investments	MGHS	451.07	451.07	451.07	451.07	451.07	451.07
Capital Recovery IRO Existing Newly Completed and Legacy Distribution Assets:							
Depreciation	MGHS	298.74	298.74	298.74	298.74	298.74	298.74
Return on Regulated Asset Base	MGHS	54.53	54.53	54.53	54.53	54.53	54.53
Sub-Total	MGHS	353.27	353.27	353.27	353.27	353.27	353.27
Corporate Tax	MGHS	8.82	8.82	8.82	8.82	8.82	8.82
Total Electricity Distribution Revenue Requirement	MGHS	1,622.25	1,696.81	1,778.31	1,867.42	1,964.85	1,785.93

Source: PURC's Tariff Analyses, 2026-2030

Table 9-6 Summary of PURC Approved Costs Vs. Proposed Costs of NEDCo

Cost Type	Existing (MGHS)	Proposed Costs (MGHS)	Approved Costs (MGHS)
Approved Operating Cost:			
Administrative & General Expenses	44.36	188.94	225.40
Operation & Maintenance Expenses	154.27	123.51	146.92
Human Resource Expenses	295.98	645.59	599.88
Sub-Total	494.61	958.04	972.20
Cost on Working Capital Allowance	0.29		0.58
Capital Expenditure IRO Approved Critical Investments	12.92		451.07
Capital Recovery IRO Existing Newly Completed and Legacy Distribution Assets:			
Depreciation	19.21	785.84	298.74
Return on Regulated Asset Base	6.51	805.19	54.53
Sub-Total	25.72	1,591.04	353.27
Corporate Tax	1.09	-	8.82
Total Electricity Network Business Revenue Requirement	534.64	2,549.07	1,785.93

Source: PURC's Tariff Analyses, 2026-2030

The Commission in approving the various operating costs of NEDCo, including administrative and general expenses, operation and maintenance expenses, and human resource expenses, the Commission undertook a prudence and efficiency test, taking into consideration PURC's Rate Setting Guidelines. NEDCo's ARR results in an average distribution added value (DAV) charge of GHp84.1202/kWh. Details of the approved costs are explained in the following sections.

9.2.1.1 Administrative and General Expenses

NEDCo proposed an annual average of GHS188.94Million to cover various administrative expenses for the 2026-2030 Tariff Control Period. However, the Commission approved an annual average of GHS 225.40Million which was considered to be prudent and efficient. The variance between the proposed and approved cost was as a result of approved capital expenditure, data validation and use of an operating expense efficiency benchmark in line with the Rate Setting Guidelines.

9.2.1.2 Operation and Maintenance Expenses

With respect to operation and maintenance expenses, the Commission approved an annual average amount of GHS146.92Million representing a 212.19% increase over the existing approved costs for 2025, which the Commission considers as prudent and efficient as against GHS123.51Million proposed by NEDCo for the 2026-2030 Tariff Control Period. This approval was based on the application of operating expense efficiency benchmark, data validation and approved capital expenditure as per PURC's Rate Setting Guidelines.

9.2.1.3 Human Resource Expenses

The Commission approved an annual average of GHS599.88 million to cover NEDCo's human resource expenses during the 2026–2030 Tariff Control Period, in accordance with PURC's Rate Setting Guidelines.

9.2.1.4 Cost of Working Capital Allowance

Regarding cost of working capital allowance, the Commission approved an annual average of GHS0.58 Million for the Company for the 2026-2030 Tariff Control Period in line with the Rate Setting Guidelines for Electricity Distribution and Supply. The approved cost of working capital allowance was based on PURC benchmark cash conversion cycle and the WACC for NEDCo.

9.2.1.5 Capital Expenditure

The Commission approved an average of GHS 451.07Million to cover NEDCo's short-term critical investments over 2026-2030 Tariff Control Period. It is important to note that this amount was arrived at considering the cost of both the loan facility and interest as well as levelising the total short-term critical investments amount in line with NEDCo's depreciation policy as well as following the investment hearing in line with the PURC's Rate Setting Guidelines for Investment Approval and Verification.

9.2.1.6 Depreciation

With respect to depreciation, the Commission approved an annual average amount of GHS298.74Million as against NEDCo's proposed amount of GHS785.84Million for the 2026-2030 Tariff Control Period. The Commission's approved amount represents 38.02% of the amount proposed by ECG and was based on the use of net revalued regulated asset base. The variance is as a result of revision of the regulated asset base value which excluded assets acquired through grants and also following data validation after submission of the Company's tariff proposal.

9.2.1.7 Return on Revalued Net Fixed Assets

The Company proposed a return of GHS 805.19 Million on Regulated Fixed Assets for the 2026-2030 Tariff Control Period. However, the Commission approved an annual average of GHS 353.27 Million as return on revalued net fixed assets guided by PURC's Rate Setting Guidelines for Electricity Distribution and Supply. The variance is as a result of differences in WACC and the revision of the regulated asset base value, which excluded assets acquired through grants and also following data validation after submission of the Company's tariff proposal.

9.2.1.8 Corporate Tax

In respect of Corporate Tax, the Commission approved an annual average of GHS 8.82 Million as corporate tax payable by NEDCo over the 2026-2030 Tariff Control Period based on the approved net revalued regulated asset base and in accordance with PURC's Rate Setting Guidelines for Electricity Distribution and Supply.

9.2.2 Cost of Distribution Losses

PURC's benchmark total distribution system losses for NEDCo is 21.5% over the 2026-2030 Tariff Control Period which translates into an energy of 581 GWh. The total cost of the distribution losses is estimated at GHS 767.03 Million, resulting in an average cost of GHp 36.1286/kWh. Similar to the case of ECG, the average cost of total distribution system losses is prefixed as DSC-2 and is the rate that covers payment by DISCOs to electricity generators to compensate for the cost of PURC benchmarked electricity lost in distribution.

9.2.3 Non-Collectible Revenue (NCR)

The Commission maintained and approved a 2% allowance to cover provision for non-collectible revenue by NEDCo.

9.2.4 NEDCo's Total Annual Revenue Requirement (TARR)

The Commission in determination of NEDCo's TARR considered the following costs:

- (i) Cost of power purchases from electricity generators including all losses in the process of high voltage transmission as well as the electricity that is not billed owing to technical and commercial losses within the utility company's network
- (ii) Direct cost of operating the high voltage transmission system of the power to the consumers
- (iii) Costs of NEDCo's own operations (ARR)
- (iv) Provision for non-collectible revenue

9.2.4.1 NEDCo's Cost of Power Purchases

For the 2026-2030 Tariff Period, the Commission approved a projected annual electrical energy of 2,820 GWh for NEDCo to meet the needs of its customers as well as provide for all losses in transmission and distribution of the electrical energy. It is worth noting that, NEDCo procures all its power requirements from VRA. The Commission approved an annual average amount of GHS 2,334.18 million to cover the total cost of electricity to be purchased by NEDCo for 2026-2030 Tariff Control Period. Details of the cost build-up of NEDCo's electricity purchases for 2026-2030 Tariff Control Period are shown in Table 9-6.

9.2.4.1.1 NEDCo's Composite Bulk Generation Charge

The Commission approved a Composite Bulk Generation Charge (CBGC) of GHp82.7673/kWh for NEDCo for 2026-2030 Tariff Control Period. It is important to note that NEDCo's CBGC represents the weighted average cost of electricity to be procured by NEDCo from VRA including the electricity from the Akosombo and Kpong hydroelectric generating stations. The Approved CBGC for NEDCo translates into total cost of electricity purchases of GHS2,334.18Million. Details of projected power purchases for NEDCo and tariffs by power plant are indicated in Table 9-6.

Table 9-6 Summary of PURC Approved Power Purchase Costs for NEDCo

Power Plant	Projected Electrical Energy (GWh)	Tariff (GHp/kWh)
VRA Plants		
VRA-Hydro:		
Akosombo	852	24.2630
Kpong	145	49.7412
Sub-Total VRA Hydro	997	
VRA-Thermal:		
TAPCo	1,811	120.6627
Sub-Total VRA Thermal	1,811	
VRA-Renewable:		
Solar (Navrongo)	3	149.9847
Solar (Kaleo/Lawra)	9	108.0599
Sub-Total VRA Renewable	12	
Total VRA Electrical Energy/ VRA Composite Bulk Generation Tariff	2,820	82.7673

Source: PURC's Tariff Analyses, 2026-2030

9.2.4.1.3 NEDCo's Transmission Grid Services Cost

It is important to note that in addition to the cost of power purchases, NEDCo is required to pay for transmission services provided by GRIDCo. The total power to be transmitted on behalf of NEDCo for the 2026-2030 tariff period is projected at 2,820 GWh which includes transmission losses of 116 GWh. Given that NEDCo's total purchases of 2,820 GWh includes the cost of transmission losses, NEDCo is required to pay just as ECG to GRIDCo only the added value component (TSC-1) of the Transmission Service Charge.

Table 9-7 Summary of PURC Approved Transmission and Distribution System Losses for NEDCo

Description	Value (GWh)
Power Purchases	2,820
Transmission System Losses	116
Distribution System Losses	581
Final End-User Consumption (Sales)	2,123

Source: PURC's Tariff Analyses, 2026-2030

9.2.4.2 Total Annual Revenue Requirement

Similar to ECG, the Commission approved the above costs of NEDCo vis-à-vis performance targets. This yielded a Total Annual Revenue Requirement (TARR) for the Company amounting to GHS 4,389.08Million, which in the opinion of the Commission, is sufficient to cover the operational costs of NEDCo for the 2026-2030. Details of these costs including cost of power purchases are presented in Table 9-8.

Table 9-8 Summary of NEDCo's Total Annual Revenue Requirement

Item/Cost Center	PURC Approved (Million GHS)
Power Purchases (Incl. Trans. & Distr. System Losses)	2,334.18
Transmission Service Cost (Excl. Transmission Losses)	268.97
Total Power Purchases & Transmission Grid Service Costs	2,603.15
Administrative & General Expenses	225.40
Operation & Maintenance Expenses	146.92
Human Resource Expenses	599.88
Cost on Working Capital Allowance	0.58
Capital Expenditure	451.07
Depreciation	298.74
Return on Regulated Asset Base	54.53
Corporate Tax	8.82
NEDCo Annual Revenue Requirement (ARR)	1,785.93
Total Annual Revenue Requirement (TARR)	4,389.08

Source: PURC's Tariff Analyses, 2026-2030

The Commission wishes to state that based on above approved costs, NEDCo is expected to bill and collect from its customers, the tariffs approved by the Commission in order to meet all its obligations including power purchases, transmission services, and distribution operating expenses.

9.3 Enclave Power Company (EPC)

9.3.4 Determination of EPC's Revenue Requirement

The Commission determined EPC's Annual Revenue Requirement (ARR) for the 2026-2030 Tariff Control Period within the framework of the Rate Setting Guidelines for Electricity Distribution and Supply considering projected electrical energy purchases and sales volumes, costs and revenue proposals as submitted by EPC. It must be stated that the Commission's approval of costs and electrical energy purchases for EPC covers only the regulated market served by EPC.

EPC's proposal covered the Company's administrative and general expenses, operation and maintenance expenses, human resource expenses, cost of working capital allowance, capital expenditure in respect to EPC's short-term critical investments, depreciation and return on regulated asset base, amounting to an annual average of GHS 305.89 Million for the 2026-2030 Tariff Control Period.

Table 9-9 shows the breakdown of EPC's 5-year annual revenue requirement approved by the Commission and Table 9-10 indicates approved annual average revenue in comparison with existing and proposed annual average revenue by EPC.

Table 9-9 Summary of PURC Approved Distribution Revenue Requirement for 2026-2030

Cost Type	Measure	2026	2027	2028	2029	2030	Average (2026-2030)
EPC's Approved Operating Cost:							
Administrative & General Expenses	MGHS	15.23	16.44	17.76	19.18	20.72	17.87
Operation & Maintenance Expenses	MGHS	10.83	11.70	12.64	13.65	14.74	12.71
Human Resource Expenses	MGHS	24.06	25.26	27.81	29.49	32.36	27.80
Sub-Total	MGHS	50.12	53.40	58.21	62.32	67.81	58.37
Cost on Working Capital Allowance	MGHS	0.15	0.15	0.17	0.18	0.20	0.17
Capital Expenditure IRO Approved Critical Investments	MGHS	3.69	3.69	3.69	3.69	3.69	3.69
Capital Recovery IRO Existing Newly Completed and Legacy Distribution Assets:							
Depreciation	MGHS	14.69	14.69	14.69	14.69	14.69	14.69
Return on Regulated Asset Base	MGHS	35.24	35.24	35.24	35.24	35.24	35.24
Sub-Total	MGHS	49.93	49.93	49.93	49.93	49.93	49.93
Corporate Tax	MGHS	4.03	4.03	4.03	4.03	4.03	4.03
Total Electricity Distribution Revenue Requirement	MGHS	107.91	111.20	116.02	120.15	125.65	116.18

Source: PURC's Tariff Analyses, 2026-2030

Table 9-10 Summary of PURC Approved Costs Vs. Proposed Costs by EPC

Cost Type	Existing (MGHS)	Proposed Costs (MGHS)	Approved Costs (MGHS)
Approved Operating Cost:			
Administrative & General Expenses	17.26	17.54	17.87
Operation & Maintenance Expenses	0.65	12.95	12.71
Human Resource Expenses	5.18	27.80	27.80
Sub-Total	23.09	58.28	58.37
Interest on Working Capital	0.06	0.62	0.17
Capital Expenditure IRO Approved Critical Investments:	20.74		3.69
Capital Recovery IRO Existing Newly Completed and Legacy Distribution Assets:			
Depreciation	11.58	67.72	14.69
Return on Regulated Asset Base	24.97	91.53	35.24
Sub-Total	36.55	159.2468572	49.93
Corporate Tax	3.71	87.74	4.03
Total Electricity Network Business Revenue Requirement	84.15	305.89	116.18

Source: PURC's Tariff Analyses, 2026-2030

The approved annual average revenue requirement for EPC results in an average distribution added value (DAV) charge of GHp39.1962/kWh. The Commission, in approving the various operating costs of EPC, including administrative and general expenses, operation and maintenance expenses as well as human resource expenses of EPC, undertook a prudence and efficiency test taking into consideration PURC's Rate Setting Guidelines. Details of the approved costs are presented in the following sections.

9.3.4.1 Administrative and General Expenses

With regards to administrative and general expenses, EPC proposed an annual average of GHS17.54Million to cover various administrative expenses for 2026-2030 Tariff Control Period. However, the Commission approved an annual average of GHS 17.87Million which was considered to be prudent and efficient. The approved administrative and general expenses for the 2026-2030 Tariff Control Period represents a 3.50% increase over the existing approved costs for 2025. The variance between the proposed and approved cost was as a result of use of an operating expense efficiency benchmark in line with the Rate Setting Guidelines.

9.3.4.2 Operation and Maintenance Expenses

The Commission approved an annual average amount of GHS12.71Million as operation and maintenance expenses for EPC which the Commission considered as prudent and efficient as against GHS12.95Million proposed by EPC for the 2026-2030 Tariff Control Period. This decision was based on operating expense efficiency benchmark as per PURC's Rate Setting Guidelines.

9.3.4.3 Human Resource Expenses

In respect of EPC's human resource expenses, the Commission approved an annual average of GHS27.80Million to cover the Company's staff expenses for the 2026-2030 Tariff Control Period. The approval by the Commission was in line with PURC's Rate Setting Guidelines.

9.3.4.4 Cost of Working Capital Allowance

In terms of cost of working capital allowance, the Commission approved an annual average of GHS0.17Million for the Company for the 2026-2030 Tariff Control Period in line with the Rate Setting Guidelines for Electricity Distribution and Supply. The approved cost of working capital allowance was based on PURC benchmark cash conversion cycle and the WACC for EPC.

9.3.4.5 Capital Expenditure

With respect to capital expenditure, the Commission approved an average annual amount of GHS 3.69 Million to cover EPC's short-term critical investments over 2026-2030 Tariff Control Period. It is important to note that this amount was arrived at by taking into consideration the cost of both the loan facility and interest of the short-term critical investments and levelising the amount based on EPC's depreciation policy as well as following the investment hearing in line with the PURC's Rate Setting Guidelines for Investment Approval and Verification.

9.3.4.6 Depreciation

The Commission approved an annual average depreciation of GHS14.69Million as against EPC's proposed amount of GHS67.72Million for the 2026-2030 Tariff Control Period. The Commission's approved amount which represents 21.69% of the amount proposed by EPC was based on the use of net revalued regulated asset base. The variance is due to revision of the regulated asset base value of the Company.

9.3.4.7 Return on Revalued Net Fixed Assets

With regards to return on revalued net fixed assets, the Commission approved an annual average of GHS 35.24 Million as return on revalued net fixed assets based on WACC and the regulated asset base guided by PURC's Rate Setting Guidelines for Electricity Distribution and Supply as against GHS 91.53Million proposed by EPC. The variance was due to differences in WACC and the regulated asset base.

9.3.4.8 Corporate Tax

The Commission approved an annual average of GHS 4.03Million as Corporate Tax payable by EPC over the 2026-2030 Tariff Control Period based on the approved net revalued regulated asset base in accordance with PURC's Rate Setting Guidelines for Electricity Distribution and Supply.

9.3.5 Cost of EPC's Distribution Losses

The Commission's benchmark total distribution system losses for EPC is 2% over the 2026-2030 Tariff Control Period which translates into an energy of 6GWh. The total cost of the distribution losses is estimated at GHS 7.98Million, resulting in an average cost of GHp2.6921/kWh. Similar to ECG and NEDCo, the average cost of total distribution systems losses is prefixed as DSC-2 which is the rate that covers payment by DISCOs to electricity generators to compensate for the cost of PURC benchmarked electricity lost in distribution.

9.3.6 Non-collectible Revenue (NCR)

The Commission maintained the 2% allowance to cover provision for non-collectible revenue by EPC.

9.3.7 EPC's Total Annual Revenue Requirement (TARR)

The Commission in determination of EPC's TARR considered the following costs:

- (i) Cost of power purchases from electricity generators including all losses in the process of high voltage transmission as well as the electricity that is not billed owing to technical and commercial losses within the utility company's network
- (ii) Direct cost of operating the transmission system to supply power to EPC's consumers
- (iii) EPC's operation costs (ARR)
- (iv) Provision for non-collectible revenue

9.3.7.1 EPC's Cost of Power Purchases

The Commission approved a projected annual electrical energy of 315 GWh for EPC to meet the needs of its regulated customers as well as provide for all losses in transmission and distribution of the projected electrical energy. It must be stated that, this projected energy is to be procured from VRA. The Commission approved an annual average amount of GHS339.75Million to cover the total cost of EPC power purchases for 2026-2030 tariff period. Details of the cost build-up of EPC's electricity purchases for 2026-2030 Tariff Control Period is shown in Table 9-11.

9.3.7.1.1 EPC's Composite Bulk Generation Charge

The Commission approved a Composite Bulk Generation Charge (CBGC) of GHp107.7216/kWh for EPC for 2026-2030 Tariff Control Period. EPC's CBGC represents the weighted average cost of electricity to be procured by EPC from VRA. The Approved EPC CBGC results in a total annual electricity purchase cost of GHS339.75Million. Details of projected power purchases for EPC and tariffs by power plant are indicated in Table 9-11.

Table 9-11 Summary of PURC Approved Power Purchase Costs for EPC

Power Plant	Projected Electrical Energy (GWh)	Tariff (GHP/kWh)
VRA Plants		
VRA-Hydro:		
Akosombo	128	30.7516
Kpong	22	57.3426
Sub-Total VRA Hydro	150	
VRA-Thermal:		
KTPP	166	173.6215
Sub-Total VRA Thermal	166	
Total VRA Electrical Energy/ VRA Composite Bulk Generation Tariff	315	107.7216

Source: PURC's Tariff Analyses, 2026-2030

9.3.7.2 EPC's Transmission Grid Services Cost

In addition to the cost of power purchases, EPC is required to pay for the transmission grid services provided by GRIDCo. The total electrical energy to be transmitted on behalf of EPC for the 2026-2030 Tariff Control Period is projected at 315 GWh which includes transmission losses of 6 GWh. Given that EPC's total purchases of 315 GWh includes the cost of transmission losses, EPC is required to pay to GRIDCo only the value-added component (TSC-1) of the Transmission Service Charge.

Table 9-12 Summary of PURC Approved Transmission and Distribution System Losses for EPC

Power Purchases	Value (GWh)
Final End-User Consumption	315
Transmission System Losses	13
Distribution System Losses	6
Total Purchases	334

Source: PURC's Tariff Analyses, 2026-2030

9.3.7.3 Total Annual Revenue Requirement

The Commission approved a Total Annual Revenue Requirement (TARR) for the Company amounting to GHS 486.02Million, which is to cover the operational costs of EPC for the 2026-2030 Tariff Control Period. Details of these costs including cost of power purchases are presented in Table 9-13.

Table 9-13 Summary of EPC's Total Annual Revenue Requirement

Item/Cost Center	PURC Approved (Million GHS)
Power Purchases (Incl. Trans. & Distr. System Losses)	339.75
Transmission Service Cost (Excl. Transmission Losses)	30.08
Total Power Purchases & Transmission Grid Service Costs	369.84
Administrative & General Expenses	17.87
Operation & Maintenance Expenses	12.71
Human Resource Expenses	27.80
Cost on Working Capital Allowance	0.17
Capital Expenditure	3.69
Depreciation	14.69
Return on Regulated Asset Base	35.24
Corporate Tax	4.03
EPC Annual Revenue Requirement (ARR)	116.18
Total Annual Revenue Requirement (TARR)	486.02

Source: PURC's Tariff Analyses, 2026-2030

The Commission wishes to state that based on above approved costs, EPC is expected to bill and collect from its customers, the tariffs approved by the Commission to meet all its obligations including power purchases, transmission services, and distribution operating expenses.

10.0 TARIFF DECISION IN RESPECT OF WATER PRODUCTION, TRANSMISSION, DISTRIBUTION AND SUPPLY SERVICES

This section provides outcome of PURC's analyses of costs and tariffs as well as the Commission's decision on costs and tariffs for GWL.

10.1 Determination of GWL Annual Revenue Requirement

The Commission in its analyses of various costs and performance targets proposed by GWL for the 2026-2030 Tariff Control Period was guided by the fact that potable water service delivery within urban Ghana is to a very large extent a monopoly business hence the need for the requisite regulatory supervision to ensure that incurred costs in service delivery are prudent and efficient and performance targets met.

The Commission approved an annual average amount of GHS 3,194.16 Million to cover GWL's revenue requirements for the 2026-2030 Tariff Control Period as against the Company's proposal of GHS 8,880.66 Million.

Table 10-1 shows the breakdown of GWL's total yearly annual revenue requirement approved by the Commission and Table 10-2 indicates approved annual average revenue in comparison with existing and proposed annual average revenue by GWL.

Table 10-1 Summary of PURC Approved Distribution Revenue Requirement for 2026-2030

Utility/Cost Type	Measure	2026	2027	2028	2029	2030	Average (2026-2030)
GWL:							
Administrative & General Expenses	MGHS	259.77	280.55	302.99	327.23	353.41	304.79
Operation & Maintenance Expenses	MGHS	351.80	379.94	410.34	443.16	478.62	412.77
Human Resource Expenses	MGHS	540.51	635.91	748.15	880.20	1,035.55	768.07
Electricity Expenses	MGHS	764.66	764.66	764.66	764.66	764.66	764.66
Chemical Expenses	MGHS	249.09	249.09	249.09	249.09	249.09	249.09
Sub-Total	MGHS	2,165.83	2,310.16	2,475.23	2,664.35	2,881.33	2,499.38
Cost on Working Capital Allowance	MGHS	1.28	1.37	1.47	1.58	1.71	1.48
Capital Expenditure IRO GWL's Critical Investments	MGHS	141.97	141.97	141.97	141.97	141.97	141.97
Capital Recovery IRO Existing Assets:							
Depreciation	MGHS	210.93	210.93	210.93	210.93	210.93	210.93
Return on Regulated Asset Base	MGHS	110.10	110.10	110.10	110.10	110.10	110.10
Sub-Total	MGHS	321.03	321.03	321.03	321.03	321.03	321.03
Total GWL Revenue Requirement	MGHS	2,630.11	2,774.52	2,939.70	3,128.93	3,346.04	2,963.86
Befesa:							
Capacity Cost	MGHS	204.69	204.69	204.69	204.69	204.69	204.69
Variable Cost	MGHS	25.61	25.61	25.61	25.61	25.61	25.61
Total Befesa Revenue Requirement	MGHS	230.30	230.30	230.30	230.30	230.30	230.30
Total GWL+Befesa Revenue Requirement	MGHS	2,860.41	3,004.82	3,170.00	3,359.22	3,576.34	3,194.16

Source: PURC's Tariff Analyses, 2026-2030

Table 10-2 Summary of GWL Proposed and PURC Approved Costs

Utility/Cost Type	Existing Costs (MGHS)	Proposed Costs (MGHS)	Approved Costs (MGHS)
Ghana Water Limited:			
Administrative & General Expenses	264.94	2,269.72	304.79
Operation & Maintenance Expenses	358.81	1,616.62	412.77
Human Resource Expenses	419.81	689.51	768.07
Chemical Expenses	114.61	957.96	249.09
Electricity Expenses	696.03	588.85	764.66
Sub-Total	1,854.20	6,122.66	2,499.38
Interest on Working Capital	1.28	-	1.48
Capital Expenditure	288.05	1,266.82	141.97
Capital Recovery Cost (CRC):			
Depreciation	204.93	239.23	210.93
Return on Regulated Asset Base	104.96	893.39	110.10
Sub-Total	309.89	1,132.62	321.03
Total GWL Revenue Requirement	2,453.42	8,522.10	2,963.86
BEFESA:			
Capacity Cost	267.61	319.16	204.69
Variable Cost	33.14	39.39	25.61
Total Befesa Production Revenue Requirement	300.75	358.55	230.30
Total GWL+Befesa Revenue Requirement	2,754.17	8,880.66	3,194.16

Source: PURC's Tariff Analyses, 2026-2030

Similar to the methodology employed in analysing various costs which were considered and approved by the Commission for regulated utilities along the Electricity Supply Industry Value Chain, the Commission in establishing the prudence and efficiency of the various operating costs of GWL, including administrative and general expenses, operation and maintenance expenses as well as human resource expenses, undertook a prudence and efficiency test taking into consideration PURC's Rate Setting Guidelines. GWL ARR results in an average water tariff of GHp14.7202/m³. Details of above approved costs are presented in the following sections.

10.1.1 Administrative and General Expenses

GWL proposed an annual average administrative expense of GHS2,269.72Million to cover the 2026-2030 Tariff Control Period. However, the Commission approved an annual average of GHS 304.79Million which was considered to be prudent and efficient. The approved administrative and general expenses for the 2026-2030 Tariff Control Period represents a 15.04% increase over the existing approved costs for 2025. The variance between the proposed and approved cost was as a result of use of an operating expense efficiency benchmark and approved capital expenditure as per PURC's Rate setting Guidelines.

10.1.2 Operation and Maintenance Expenses

With regards to operation and maintenance expenses, the Commission approved an annual average amount of GHS412.77Million as operation and maintenance expenses for GWL as against GHS1,616.62Million proposed by the Company for the 2026-2030 Tariff Control Period. This approval was based on the application of operating expense efficiency benchmark and approved capital expenditure as per PURC's Rate setting Guidelines.

10.1.3 Human Resource Expenses

In respect of GWL's human resource expenses, the Commission approved an annual average of GHS768.07Million to cover the Company's staff expenses for the 2026-2030 Tariff Control Period. The approval by the Commission was in line with PURC's Rate Setting Guidelines.

10.1.4 Electricity Expenses

Per the Commission's analysis of historical electricity consumption data of GWL, it has been established that the cost of electricity in GWL's operations constitutes approximately 25.8% of the total cost of operations of GWL. Thus, the Commission in determining electricity cost for GWL for the 2026-2030 Tariff Control Period, took into account, the approved electricity tariffs effective January 01, 2026. This resulted in an approval of an annual amount of GHS764.66Million as GWL's total electricity cost.

10.1.5 Water Treatment Chemical Expenses

The Commission carried out an extensive engagement with GWL on effect of continuing illegal mining activities on the operations of the company in catchment areas where these activities were being carried out. The objective of the Commission's engagement with the Company was to establish the quantity, price and costs of water treatment chemicals required to bring the level of water to quality required for consumption by consumers over the 2026-2030 Tariff Control Period.

There were also further engagements not only to validate but also establish the veracity of the position of GWL as stated above since the quantity of water treatment chemicals, level of price as well as total costs in procuring the required amount of chemicals to a very large extent all have an impact on the tariff to be approved by the Commission. Taking all of the above into consideration, the Commission came to the conclusion that an amount of GHS249.09Million was not only prudent and sufficient to meet the financial needs of the company for the 2026-2030 Tariff Control Period but also ensure that GWL water treatment chemicals are available in required quantities and quality throughout the year to ensure continuous operations.

10.1.6 Cost of Working Capital Allowance

In terms of cost of working capital allowance, the Commission approved an annual average of GHS1.48Million for the Company for the 2026-2030 Tariff Control Period in line with the Rate Setting Guidelines for Water Production, Transmission, Distribution and Supply. The approved cost of working capital allowance was based on PURC benchmark cash conversion cycle and the WACC for GWL.

10.1.7 Capital Expenditure

In accordance with the PURC's Rate Setting Guidelines for Investment Approval and Verification, and following the outcome of the investment hearing, the Commission approved an annual average capital expenditure of GHS 141.97 million. The approved capital expenditure is intended to support GWL's short-term critical investments during the 2026-2030 Tariff Control Period. Similar to the approach taken in the power sector, this figure was determined by considering the costs associated with both the loan facility and the interest on these short-term critical investments. These costs were levelised in accordance with GWL's depreciation policy.

10.1.8 Depreciation

The Commission approved an annual average depreciation of GHS210.93Million as against GWL's proposed amount of GHS239.23Million for the 2026-2030 Tariff Control Period. The Commission's approved amount represents 88.17% of the amount proposed by the Company and was based on the use of net revalued regulated asset base. The variance is as a result of revision of the regulated asset base value which excluded assets acquired through grants and also following data validation after submission of the Company's tariff proposal.

10.1.9 Return on Revalued Net Fixed Assets

With regards to return on revalued net fixed assets, the Commission approved an annual average return of GHS 110.10Million on revalued net fixed assets based on WACC and the regulated asset base guided by PURC's Rate Setting Guidelines for Water Production, Transmission, Distribution and Supply as against GHS 893.39Million proposed by GWL with the variance due to differences in WACC and the regulated asset base.

10.1.10 Befesa Desalination Plant Costs

GWL, by a Water Purchase Agreement is to procure on daily basis 60,000 m³ of water from Befesa's Desalination Plant located at Teshie-Nungua. To enable GWL pay for the full cost of its water purchases from Befesa, the Commission approved an annual average amount of GHS 230.30Million for the 2026-2030 tariff control period, which is to cover the full annual Capacity Payment and Variable Operation and Maintenance Expenses of the Befesa Desalination Plant.

10.2 Projected Water Production and Sales Volume

The Commission, in its analysis approved an annual projected water production volume of 364.95Mm³. This volume is an average of the aggregated production volumes from GWL's 90 production systems and Befesa Desalination Plant over the 2026-2030 Tariff Control Period. In terms of water sales volume to be sold to consumers over the Tariff Control Period, the Commission approved projected annual water sales volume of 216.99Mm³, adjusting for Benchmarked Non-Revenue Water Loss established for GWL.

10.3 Non-Revenue Water

In terms of Non-Revenue Water performance, a 43.00% loss level was approved for GWL over the 2026-2030 tariff control period. A non-revenue water loss trajectory ranging from 45% in 2026 to 41% in 2030 was approved taking into consideration of approved capital expenditure for GWL in the form of District and Smart Meters, Distribution Network Expansion Projects among other loss reduction initiatives.

10.4 Non-collectible Revenue (NCR)

The Commission maintained the 2% provision for non-collectible revenue for GWL.

11.0 CONCLUSION

We have in this decision paper, examined, analysed and presented results from analyses of tariff proposals submitted by Utility Service Providers for consideration by the Commission as well as approval of rates to be charged for the 2026-2030 Tariff Control Period. The tariff proposals were submitted by Volta River Authority (VRA), Ghana National Gas Limited Company (GNGLC), Ghana Grid Company (GRIDCo), Electricity Company of Ghana (ECG), Northern Electricity Distribution Company (NEDCo), Enclave Power Company (EPC) and Ghana Water Limited (GWL).

Details in terms of both volume and price of Natural Gas by supply source as the primary fuel for generation of electrical energy for the 2026-2030 Tariff Control Period, which were presented to the Commission by GNPC, GNGLC, VRA and ECG resulted in the approval of Weighted Average Cost of Gas of USD 7.8749/MMBtu.

In respect of power purchases, the Commission approved an annual average Composite Bulk Generation Tariff of GHp 125.7350/kWh for the 2026-2030 Tariff Control Period based on projected annual average electrical energy volume of 20,696 GWh to be supplied to the regulated electricity market by both VRA and selected Independent Power Producers (IPPs) under bilateral contract agreements with ECG for the 2026-2030 Tariff Control Period.

The tariff decision paper also indicated Transmission Service Charge-1 of GHp9.9453/kWh, Transmission Service Charge-2 of GHp5.1481/kWh, Distribution Service Charge-1 of GHp30.9042/kWh and Distribution Service Charge-2 of GHp36.1286/kWh approved by the Commission for the 2026-2030 Tariff Control Period for GRIDCo and the three DisCos namely ECG, NEDCo and EPC.

The approved Composite Bulk Generation Charge, Transmission Service Charge-1 and Distribution Service Charge-1 resulted in an annual average total revenue requirement of GHS35.07 Billion (inclusive of 2% collection loss) for the electricity sector. This resulted in approval by the Commission of a 9.86% average increase in rates payable by electricity consumers over the 2026-2030 Tariff Control Period.

With regards to water, the Commission approved an annual average total revenue requirement of GHS 3.26 Billion (inclusive of 2% collection loss) to cover Water Production, Transmission, Distribution and Supply for the 2026-2030 Tariff Control Period. This revenue requirement resulted in approval of a 15.92% average increase across board in water tariffs payable by water consumers for the 2026-2030 Tariff Control Period.

Appendix-1 - Key Assumptions

Summary of Key Assumptions Used in Determination of Natural Gas, Electricity and Water Tariffs

Item	Measure	Value
Fuel Price:		
Natural Gas (WACOG)	US\$/MMBtu	7.8749
Macro-Economic Variable:		
Exchange Rate	GHS/US\$	12.0067
Inflation Rate	%	8.0
Generation Mix:		
Hydro	%	20.90
Thermal	%	79.10
Hydro Allocation (Regulated Electricity Market):		
Akosombo GS	GWh	4,261
Kpong GS	GWh	723
Total	GWh	4,984
System Losses:		
Average Transmission System Losses	%	4.1
Average Distribution System Losses	%	21.5
Collection Loss Ratio	%	2.0
Non-Revenue Water	%	43.0

Appendix-2 - Stakeholder Consultative Meetings and Public Hearings

I. Stakeholder Consultative Meetings - September 08-25, 2025

Stakeholder Category	Institutions	Date
Civil Society	Africa Center for Energy Policy	
Organizations/Think Tanks	CONIWAS Institute for Energy Security Consumer Protection Agency IMANI Africa KITE COSECA PIAC ISODEC WaterAid	Sept. 8, 2025
Media	GBC TV3 Joy TV/joy NEWS Channel 1 TV Metro TV Adom TV/FM Peace FM Radio Gold United Television (UTV) Ghana News Agency (GNA) Ghanaian Times Ghana Web Onua Asempa Daily Graphic Ahontor FM Energynewsafrika Original TV Atinka TV Accra FM Radio XYZ	Sept. 9, 2025
Communicators	Government Communicators Pro-Forum Members, Progressive Intellectuals NDC Communications	Sept. 9, 2025
Industry/Business Associations	Association of Ghana Industries Ghana National Chamber of Commerce and Industry Chamber of Mines Chamber of Telcos Ghana Employers Association Ghana Union of Traders and Associations	Sept. 12, 2025
Organised Labour	Ghana Private Road Transport Union University Teachers' Association of Ghana Ghana Federation of Labour CLOSSAG Union of Informational Workers Association (UNIWA) of TUC	Sept. 12, 2025
Political Actors	24-Hour Economy Secretariat	Sept. 12, 2025
Government	National Security & Bureau of National Investigation	Sept. 15, 2025
	Ministry of Finance	Sept. 19, 2025
	Bank of Ghana	Sept. 19, 2025
	Ministry of Works, Housing and Water Resources	Sept. 25, 2025

II. Public Hearings - September 17- October 30, 2025

Region	Date
Greater Accra	17 th September, 2025
Eastern	24 th September, 2025
Volta/Oti	30 th September, 2025
Western/Western North	7 th October, 2025
Central Region	9 th October, 2025
Ashanti	14 th October, 2025
Bono/Ahafo/Bono East	16 th October, 2025
Northern/Savanna	22 nd October, 2025
Upper East/North East	27 th October, 2025
Upper West	30 th October, 2025

Appendix-3 - Approved Electricity and Water Rates

Electricity Rates Effective January 01, 2026

Tariff Category	Measure	New Tariff Effective January 01, 2026
First Schedule		
BGC VRA	GHp/kWh	74.4763
Composite BGC (VRA and IPPs)	GHp/kWh	125.7350
Second Schedule		
TSC 1	GHp/kWh	9.9453
TSC 2	GHp/kWh	5.1481
Third Schedule		
DSC 1	GHp/kWh	30.9042
DSC 2	GHp/kWh	36.1286
DWC	GHp/kWh	67.0328
Fourth Schedule		
Residential Customers:		
Lifeline Customers:		
0-30 kWh (Exclusive)	GHp/kWh	88.3713
Service Charge	GHp/Month	213.0000
All Other Residential Customers:		
0-300 kWh	GHp/kWh	200.2159
301+ kWh	GHp/kWh	264.5527
Service Charge	GHp/kWh	1073.0886
Non-Residential Customers:		
0-300 kWh	GHp/kWh	180.7634
301+ kWh	GHp/kWh	224.6455
Service Charge	GHp/Month	1242.8245
Special Load Tariff (SLT) Customers:		
Low Voltage - LV		
Energy Charge	GHp/kWh	269.7753
Service Charge	GHp/Month	50000.0000
Medium Voltage - MV		
Energy Charge	GHp/kWh	215.3414
Service Charge	GHp/Month	50000.0000
High Voltage - MV-2		
Energy Charge	GHp/kWh	134.2804
Service Charge	GHp/Month	50000.0000
High Voltage - HV		
Energy Charge	GHp/kWh	215.3414
Service Charge	GHp/Month	50000.0000

I. Water Rates Effective January 01, 2026

New Customer Class	Measure	New Tariff Effective January 01, 2026
Residential		
0-5m ³	GHp/m ³	612.2522
5m ³ +	GHp/m ³	1,083.2045
Service Charge	GHp/Month	1,000.0000
Non-Residential		
Service Charge	GHp/m ³	1,832.5711
	GHp/Month	2,000.0000
Sachet Water Producers		
Service Charge	GHp/m ³	2,885.1512
	GHp/Month	10,000.0000
Commercial		
Service Charge	GHp/m ³	3,278.5809
	GHp/Month	2,000.0000
Industrial		
Service Charge	GHp/m ³	3,278.5809
	GHp/Month	25,000.0000
Public Institutions/Government Departments		
Service Charge	GHp/m ³	1,573.7189
	GHp/Month	2,000.0000
Public Stand Pipes		
Service Charge	GHp/m ³	733.4916
	GHp/Month	2,000.0000
Bottled Water and Drinks		
Service Charge	GHp/m ³	3,278.5809
	GHp/Month	25,000.0000
Ports and Harbours		
Service Charge	GHp/m ³	4,288.3839
	GHp/Month	50,000.0000
Bulk Supply		
Service Charge	GHp/m ³	1,039.5594
	GHp/Month	5,000.0000

Appendix-4 - Methodology for Determination of Natural Gas, Electricity and Water Tariffs

A. Determination of Natural Gas Tariffs

A.1 Weighted Average Gas Commodity Charge

The Weighted Average Gas Commodity Charge (WAGCC) was determined by the Commission using the following formula.

$$WAGCC_t = \sum_{i=1}^n ((GCC_n * GMix_n))$$

Where:

$WAGCC_t$ is Projected Weighted Average Gas Commodity Charge

GCC_n is Gas Commodity Charge by Gas Supply Source i.e. Jubilee, Sankofa, TEN, N- Gas, etc. as contained in the relevant GSPA

$GMix_n$ is Gas Supply Mix as Proportion of Total Gas Supply

A.2 Weighted Average Gas Gathering Charge

The Weighted Average Gas Gathering Charge (WAGGC) was determined using the following formulae.

A2.1 Gas Gathering Charge

$$GGC_t = \frac{OpEX_t + DepRAB_t + RtnRAB_t + CorpTax_t}{GGV_t}$$

Where:

GGC_t Is Gas Gathering Charge for Regulatory Year 't'

$OpEX_t$ Is Operating Expenses for Regulatory Year 't'

$DepRAB_t$ Is Depreciation on Regulated Asset Base for Regulatory Year 't'

$RtnRAB_t$ Is Return on Regulated Asset Base for Regulatory Year 't'

$CorpTax_t$ Is Corporate Tax for Regulatory Year 't'

GGV_t Is Gas Gathering Volume for Regulatory Year 't'

A.2.2 Weighted Average Gas Gathering Charge

$$WAGGC_t = \sum_{i=1}^n ((GGC_n * GMix_n))$$

Where:

$WAGGC_t$ is Projected Weighted Average Gas Gathering Charge

GGC_n is Gas Gathering Charge by Gas Supply Source i.e. Jubilee and TEN as Approved by PURC

GMix_n is Gas Supply Mix as Proportion of Total Gas Supply

A.3 Weighted Average Gas Processing Charge

The Weighted Average Gas Processing Charge was determined using the following formulae.

A3.1 Gas Processing Charge

$$GPC_t = \frac{OpEX_t + DepRAB_t + RtnRAB_t + CorpTax_t}{GPV_t}$$

Where:

GPC _t	Is Gas Processing Charge for Regulatory Year 't'
OpEx _t	Is Operating Expenses for Regulatory Year 't'
DepRAB _t	Is Depreciation on Regulated Asset Base for Regulatory Year 't'
RtnRAB _t	Is Return on Regulated Asset Base for Regulatory Year 't'
CorpTax _t	Is Corporate Tax for Regulatory Year 't'
GPV _t	Is Gas Processing Volume for Regulatory Year 't'

A3.2 Weighted Average Gas Processing Charge

$$WAGPC_t = \sum_i^n ((GPC_n * GMix_n))$$

Where:

WAGPC _t	is Projected Weighted Average Gas Processing Charge
GPC _n	is Gas Processing Charge by Gas Supply Source i.e. Jubilee and TEN as Approved by PURC
GMix _n	is Gas Supply Mix as Proportion of Total Gas Supply

A.4 Weighted Average Gas Transmission Service Charge

The Weighted Average Gas Transmission Service Charge was determined by applying the following formulae.

A4.1 Gas Transmission Service Charge

$$GTSC_t = \frac{OpEx_t + DepRAB_t + RtnRAB_t + CWCA_t + CorpTax_t}{GTV_t}$$

Where:

GTSC _t	Is Gas Transmission Service Charge for Regulatory Year 't'
OpEx _t	Is Operating Expenses for Regulatory Year 't'

DepRAB _t	Is Depreciation on Regulated Asset Base for Regulatory Year ‘t’
RtnRAB _t	Is Return on Regulated Asset Base for Regulatory Year ‘t’
CWCA _t	Is Cost of Working Capital Allowance for Regulatory Year ‘t’
CorpTax _t	Is Corporate Tax for Regulatory Year ‘t’
GTV _t	Is Gas Transmission Volume for Regulatory Year ‘t’

A4.2 Weighted Average Gas Transmission Service Charge

$$WAGTSC_t = \sum_{i=1}^n ((GTSC_n * GMix_n))$$

Where:

WAGTSC _t	is Projected Weighted Average Gas Transmission Service Charge
GTSC _n	is Gas Transmission Service Charge of each Gas Transmission Pipeline including Regulatory Levy as Approved by PURC
GMix _n	is Gas Supply Mix as Proportion of Total Gas Supply

A.5 Weighted Average Gas Service Charge

The Weighted Average Gas Service charge was determined by applying the following formula.

$$WAGSC_t = \sum_{i=1}^n (GSC_n * GMix_n)$$

Where:

WAGSC _t	is Projected Weighted Average Gas Service Charge
GSC _n	is Gas Service Charge as Approved by PURC
GMix _n	is Gas Supply Mix as Proportion of Total Gas Supply

A.6 Weighted Average Cost of Gas

The Weighted Average Cost of Gas (WACOG) was determined using the following formula.

$$WACOG_t = WAGCC_t + WAGGC_t + WAGPC_t + WAGTSC_t + WAGSC_t$$

Where:

WACOG _t	Is Projected Weighted Average Cost of Gas
WAGCC _t	Is Projected Weighted Average Gas Commodity Charge
WAGGC _t	Is Projected Weighted Average Gas Gathering Charge
WAGPC _t	Is Projected Weighted Average Gas Processing Charge

$WAGTSC_t$	Is Projected Weighted Average Gas Transmission Service Charge
$WAGSC_t$	Is Projected Weighted Average Gas Service Charge

B. Determination of Composite Bulk Generation Charge

The Composite Bulk Generation Charge was computed using the following formula.

$$CBGC = \sum_{i=1}^n (GT_i * GenMix_i)$$

Where:

CBGC	Is Composite Bulk Generation Charge in GHP/kWh
GT _i	Is Electricity Generation Tariff by Power Plant
GenMix _i	Is Each Power Plant's Guaranteed/Contracted Capacity and Energy as stated in underlying PPA as well as Approved Electricity Supply Plan/Electricity Market Oversight Panel (EMOP) Hydro Capacity and Energy Allocation as a proportion of Total Projected Capacity and Energy

C. Determination of Electricity Transmission Revenue Requirement (Added Value)

The Commission determined the revenue requirement for the Transmission Utility (GRIDCo) in by applying the following formula.

$$ARR(Trans)_t = OpEx_t + RnRAB_t + DepRAB_t + CRP(NewTransNIs)_t + CWCA_t + CorpTax_t$$

Where:

$ARR(Trans)_t$	means Annual Revenue Requirement in respect of Transmission Network Operations commencing Regulatory Year 't'
$OpEx_t$	means Operating Expenses in respect of Transmission Network Assets for Regulatory Year 't'
$RnRAB_t$	means Return on Transmission Network Regulated Asset Base commencing Regulatory Year 't'
$DepRAB_t$	means Depreciation on Transmission Network Regulated Asset Base commencing Regulatory Year 't'
$CRP(NewTransNIs)_t$	means Capital Recovery Payments in respect of New Investments made by Electricity Transmission Utility commencing Regulatory Year 't'
$CWCA_t$	means Cost of Working Capital Allowance in respect of Transmission Network Assets commencing Regulatory Year 't'
$CorpTax_t$	means Corporate Taxes in respect of Transmission Network operations commencing Regulatory Year 't'

C.1 Electricity Transmission Service Charge

The Commission computed the Electricity Transmission Charge using the following formula.

$$TSC-1_t = \frac{ARR(Trans)_t}{ETV_t}$$

Where:

$TSC-1_t$	Is Transmission Service Charge-1 for Regulatory Year 't'
$ARR(Trans)_t$	Is Annual Revenue Requirement in respect of Electricity Transmission Network Operations for Regulatory Year 't'
ETV_t	Is Projected Electricity Transmission Volume for Regulatory Year 't'

D. Determination of Electricity Distribution Utilities Revenue Requirement

The Annual Revenue Requirement (ARR) for Distribution Utilities were determined using the following formula.

$$ARR(Dis)_t = OpEx_t + RnRAB_t + DepRAB_t + CRP(NewDisNIs)_t + CWCA_t + CorpTax_t$$

Where:

$ARR(Dis)_t$	means Annual Revenue Requirement in respect of Distribution Network Operations commencing Regulatory Year 't'
$OpEx_t$	means Operating Expenses in respect of Distribution Network Assets for Regulatory Year 't'
$RnRAB_t$	means Return on Distribution Network Regulated Asset Base commencing Regulatory Year 't'
$DepRAB_t$	means Depreciation on Distribution Network Regulated Asset Base commencing Regulatory Year 't'
$CRP(NewDisNIs)_t$	means Capital Recovery Payments in respect of New Investments made by Electricity Distribution Utility commencing Regulatory Year 't'
$CWCA_t$	means Cost of Working Capital Allowance in respect of Distribution Network Assets commencing Regulatory Year 't'
$CorpTax_t$	means Corporate Taxes in respect of Distribution Network operations commencing Regulatory Year 't'

D.1 Electricity Distribution Service Charge

The Commission computed the Electricity Distribution Charge using the following formula.

$$DSC-1_t = \frac{ARR(Dis)_t}{ESV_t}$$

Where:

$DSC-1_t$	Is Distribution Service Charge-1 for Regulatory Year 't'
$ARR(Dis)_t$	Is Annual Revenue Requirement in respect of Electricity Distribution Network Operations for Regulatory Year 't'

ESV_t Is Projected Electricity Sales Volume for Regulatory Year 't'

E. Determination of Total Annual Revenue Requirement for Regulated Electricity Supply Industry Value Chain

The Commission determined the Total Revenue Requirement for the Electricity Supply Value Chain using the following formula.

The Commission determined the Total Revenue Requirement for the Electricity Supply Value Chain using the following formula.

$$TC_{EUT} = \frac{GPC_t + TSCost_t + DSCost_t}{(1 - TCLR_t)}$$

Where:

TC _{EUT}	means Total Cost of Electricity Retail Sale/Supply to Retail Customers in respect of Regulatory Year 't'
GPC _t	means Generation Purchase Cost in respect of Regulatory Year 't'
TSCost _t	means Transmission Service Cost, which shall be equal to the Annual Revenue Requirement (Transmission) in respect of Regulatory Year 't'
DSCost _t	means Distribution Service Cost, which shall be equal to the Annual Revenue Requirement (Distribution) in respect of Regulatory Year 't'
TCLR _t	means the Target Collection Loss Ratio in respect of Regulatory Year 't'

F. Determination of Water Production, Transmission, Distribution and Supply Revenue Requirement

The Commission determined Water Production, Transmission, Distribution and Supply Annual Revenue Requirement using the following formula.

$$ARR_t = OpEx_t + RnRAB_t + DepRAB_t + CRP(NewWIs)_t + CWCA_t + CorpTax_t + IWPC_t$$

Where:

ARR _t	means Annual Revenue Requirement in respect of Water Production, Transmission, Distribution and Supply Operations commencing Regulatory Year 't'
OpEx _t	means Operating Expenses in respect of Water Production, Transmission, Distribution and Supply Operations Assets for Regulatory Year 't'
RnRAB _t	means Return on Water Production, Transmission, Distribution and Supply Operations Regulated Asset Base commencing Regulatory Year 't'
DepRAB _t	means Depreciation on Water Production, Transmission, Distribution and Supply Operations Regulated Asset Base commencing Regulatory Year 't'
CRP(NewWIs) _t	means Capital Recovery Payments in respect of New Investments made by Water Utility commencing Regulatory Year 't'
CWCA _t	means Cost of Working Capital Allowance in respect of Water Production, Transmission, Distribution and Supply Operations Assets commencing

	Regulatory Year ‘t’
CorpTax _t	means Corporate Taxes in respect of Water Production, Transmission, Distribution and Supply Operations commencing Regulatory Year ‘t’
IWPC _t	means Independent Water Purchase Cost

F.1 Average Water End-User Tariff

The Commission computed the Average Water End-User Tariff using the following formula.

$$AWR_t = \frac{ARR_t}{WSV_t}$$

Where:

AWT _t	Is Average Water Tariff for Regulatory Year ‘t’
ARR _t	Is Annual Revenue Requirement in respect of Water Production, Transmission, Distribution and Supply Operations for Regulatory Year ‘t’
WSV _t	Is Projected Water Sales Volume for Regulatory Year ‘t’